Summer Internship Project Report

On

‘A STUDY ON LOANS AND ADVANCES AT THE VARACHHA CO-OPERATIVE BANK’

Submitted to

Institute Code: **750**

S. R. LUTHRA INSTITUTE OF MANAGEMENT

Under the Guidance of

Dr. Pooja Patel

Assistant Professor

In partial Fulfilment of the Requirement of the award of the degree of

Master of Business Administration (MBA)

Offered By

Gujarat Technological University

Ahmedabad

Prepared by:

Gorasiya Isha Dineshbhai.

Enrolment No.:

207500592046

MBA - Semester III

Oct 2021

ORGANIZATION CERTIFICATE

THE VARACHHA CO-OP. BANK LTD., SURAT

PROUDLY CO-OPERATIVE

Visit us : www.varachhabank.com | E-mail : info@varachhabank.in

TO WHOM SO EVER IT MAY CONCERN

This is to certify that **Miss Isha D. Gorasiya** a student of M.B.A. attending training in our Bank during the period from 27/08/2021 to 25/09/2021.

As a partial fulfillment of this Study she has satisfactorily prepared on "A Study on Loan and Advances at The Varachha Co-op Bank Ltd"

During the training period, she was found punctual in attendance and enthusiastic in her pursuit.

This certificate is issued to her only for purpose of the study and what ever she mentioned in training of her own version.

We wish a bright future to her.

THE VARACHHA CO-OP. BANK LTD. SURAT Admin

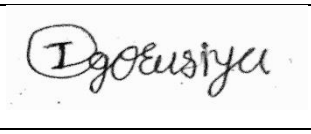
Place:Surat
Date:-08/10/2021

(J.B. Parsana)
Admin. Officer

ADMIN. OFFICE : Mezzanine Floor, Adatiya Awas, Old Bombay Market, Umarwada, Surat-395010. Ph. : 0261-2308090, Fax : 0261-4008152.
REGD. OFFICE / H.O. : Affil Tower, L.H. Road, Surat - 395 006. Ph. : 0261-2556531, 0261-2308000

STUDENT'S DECLARATION

I hereby declare that the Summer Internship Project Report titled "'A study on loans and advances At Varachha co-operative Bank' is a result of my own work and my Indebtedness to other work publications, references, if any, have been duly acknowledged. If I am found guilty of copying from any other report or published information and showing as my original work, or extending plagiarism limit, I understand that I shall be liable and punishable by the university, which may include 'Fail' in examination or any other punishment that university may decide.

Enrollment no.	Name	Signature
207500592046	Gorasiya Isha D.	

Place: Surat Date:

COMMENTS OF EXTERNAL EXAMINER

PLAGIARISM REPORT

Curiginal

Document Information

Analyzed document	207500592046.docx (D115477270)
Submitted	2021-10-17 03:47:00
Submitted by	SRLIM
Submitter email	mba750owner@gtu.edu.in
Similarity	3%
Analysis address	mba750owner.gtuni@analysis.urkund.com

Sources included in the report

W	URL: https://www.slideshare.net/BhaveshPatel295/consumer-awareness-perception-towards-home-loan Fetched: 2020-03-24 11:41:27	2
J	URL: 699e0cf5-127c-49cd-8227-c06f93d7529f Fetched: 2019-03-16 04:55:34	1
W	URL: https://www.drishtiias.com/daily-updates/daily-news-analysis/co-operative-banks-under-rbi-supervision Fetched: 2021-10-17 03:49:00	1
W	URL: https://www.varachhabank.com/ Fetched: 2021-10-17 03:49:00	5
W	URL: https://en.wikipedia.org/wiki/Circuit_breaker Fetched: 2021-10-17 03:49:00	1
W	URL: https://www.varachhabank.com/pages/machinery-loan/ Fetched: 2021-10-17 03:49:00	5
W	URL: https://www.varachhabank.com/pages/over-draft-loan/ Fetched: 2021-10-17 03:49:00	5
W	URL: https://www.revistageintec.net/index.php/revista/article/view/1770/1152 Fetched: 2021-08-07 08:11:41	3
W	URL: http://shabdbooks.com/gallery/91-may-2020.pdf Fetched: 2020-11-29 16:20:35	3

INSTITUTE CERTIFICATE

PREFACE

I undertake the writing of this Project Report of customer preference and satisfaction level towards credit schemes offered by the Varachha Co-operative Bank because with the theoretical knowledge it is necessary to obtain the practical knowledge also as a student of management, I must be encouraged by the growth and rapid development taken place in the banking sector, in India. Still recently, management is growing. Keeping in mind the ever development field of management and the great demand for full paper on project work in the field of financial management at the master degree level, thus it is our moral and obligatory duty to take part of our studies with great enthusiasm and seriousness and give it the due importance.

The report gives information regarding banking system and the co-operative banking. This project contains the details about various loan, procedure, criteria, scheme & and a research work on customer preference and satisfaction level for various credit schemes offered by the bank to individual customer.

Name:- Gorasiya Isha D.
Enrollment No:- 207500592046

ACKNOWLEDGEMENT

On the very outset of this project I would like to extend my sincere and heartfelt obligation towards all the personages who have helped me to give my big shot. Without their active guidance, help, cooperation and encouragement, I would not have made progress in the project.

I would like to thank **Gujarat Technological University** for adding Summer Internship Project in our curriculum activity.

I extend my gratitude to S.R. Luthra Institute of Management and **Dr. Jimmy M. Kapadia**, Director, S. R. Luthra Institute of Management, for giving us this opportunity. I am extremely thankful and pay my gratitude to my faculty **Dr. Pooja Patel** for her valuable guidance and support for the completion of this project.

The satisfaction and euphoria that accompany the successful completion of any task would be incomplete without the mention of the leaders, whose constant guidance and encouragement crown all the efforts with success. I make a choice **"The Varachha Co-Operative Bank Ltd."** Because of good reputation & good service provider in the market. I have very good memories with "The Varachha Co Operative Bank Ltd."

I achieve a lot during the industrial training. It was great experience that is never forget in my life and it will also helpful me in future. I thanks to the management of the bank who give me excellent guidance for preparing this report. I specially thanks **Mr. Bhavanbhai B. Navapara (The chairman), Mr. Vitthalbhai B. Dhanani (General manager), Mr. Hareshbhai K. Singala (Branch Manager of Affil Tower)** and **all the staff member** of "The Varachha Co-Operative Bank Ltd." for giving me a such type of opportunity & provide me useful information and data regarding the subject. It is my privilege to express my deep sense of gratitude to for his efforts, guidance, valuable comments and suggestions for making this report.

I also endorse with a deep sense of respect, towards my parents and family, who has always supported me morally as well as economically.

EXECUTIVE SUMMARY

The project was conducted on "A study on loans and advances At Varachha co-operative Bank.". The report comprises of nine chapters.

The first chapter includes the introduction of the topic where all the information about overall project purpose.

The second chapter is industrial profile where information about Banking Industry at Global Level, Banking Industry in India, Banking Industry in Gujarat, Definition of Banking, Types of Bank, Structure of Indian Banking System, Cooperative Banks, Definition of Co-Operative, Structure of Cooperative Banks, Role of RBI, PESTEL Analysis.

Third chapter includes the company profile which shows The Varachha Cooperative Bank Ltd. Introduction, Organizational Chart of The Bank, Bord Of Director and VCB Team, Progress of The Varachha Cooperative Bank, SWOT analysis, Deposits, Banking Services, Technology Initiatives, Loans Service, Advances, Types of Advances, Procedure for Issuing Loans & Advances and Principles A Banker Should Follow Before Granting Loans & Advances gave overall information about company.

The fourth chapter is literature review which displays the past research on The Varachha Co-operative Bank Ltd. and related to this topic from different researchers, from which the base for this report is made.

The fifth chapter is research methodology which states Problem statements, Research Questions, Research Objectives, Research Design for the study.

The sixth chapter is Data Analysis and Interpretation, which includes content analysis and findings for both the mode of communication, Demographic Profile of respondent's, Reliability Test, Normality Test, Reliability Test and objective – wise

various test have been applied like Friedman Test, Mann-Whitney U-test, Kruskal Wallis H-test and Spearman's Rank Correlation.

The seventh chapters are the finding from data analysis. It shows the specific result from the analysis made.

The eighth chapter is conclusion of the whole report, it states the final decision, determination or result from which the answer to the problem for which research is been made is obtained.

The nineth chapter is Recommendations which states that bank should focus more on services of loans and advances as it was preferred more by the consumers.

TABLE OF CONTENT

SR NO.	PARTICULARS		PAGE NO.
I.	Title Page		I
II.	Organization Certificate		II
III.	Student's Declaration		III
IV.	Comments of External Examiner		IV
V.	Plagiarism Report		V
VI.	Institute Certificate		VI
VII.	Preface		VII
VIII.	Acknowledgment		VIII
IX.	Executive Summary		XII
X.	Table of Content		XII
1.	Introduction to the study		1-2
2.	Banking Industry Profile		3-14
	a. Introduction of Banking	3	
	b. Banking Industry at Global Level	3	
	c. Banking Industry in India	4	
	d. Banking Industry in Gujarat.	7	
	e. Definition of banking	8	
	f. Types of Bank	8	
	g. Structure of Indian banking system	9	
	h. Co-operative Banks	9	
	i. PESTAL Analysis	12	
3.	Profile of The Varachha Co-operative Bank		15-38
	j. Introduction of The Varachha C0-operative Bank (VCB).	15	
	k. Organization chart of VCB	16	
	l. Bord of Director and Team	17	
	m. History	18	

	n. Mission	19	
	o. Vision	19	
	p. Social contribution	19	
	q. Progress report	20	
	r. Product and Service Profile	21	
	s. SWOT analysis	37	
4.	Literature review		39-84
5.	Research methodology		85-87
	A. Problem Statement	85	
	B. Need for the study	85	
	C. Research Objectives	85	
	D. Research Design	86	
	E. Sample Design	86	
	i. Sampling Unit	86	
	ii. Sampling Period	86	
	iii. Sampling Size	86	
	iv. Sample Technique	86	
	v. Data Collection Tool	86	
	vi. Tool used for data Analysis	86	
	F. Limitations of the Study	87	
6.	Data Analysis		88-139
7.	Findings		140-141
8.	Conclusion		142
9.	Recommendation		143
10.	Bibliography		144-146
11.	Annexure		147-151

LIST OF TABLES

TABLE NO.	PARTICULARS	PAGE NO.
4.1	Summary of Literature Review	46-84
6.1	Demographic Profile	88
6.2	Normality test of factors which affect customers perception before taking loans and advances.	112
6.3	Normality test of Statements which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB.	113
6.4	Reliability test for factors which affect customers perception before taking loans and advances.	115
6.5	Reliability test for statements which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB.	117
6.6	Friedman test for factors which affect customers perception before taking loans and advances.	120
6.7	Friedman test for statement which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB.	121
6.8	Mann-Whitney U-test for gender with regards to statements which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB.	124
6.9	Mann-Whitney U-test for Marital Status with regards to statements which shows customers' agreement or	125

	disagreement with respect to performance expectancy of loans and advances provide by VCB.	
6.10	Kruskal Wallis H-test for Age with regards to statements which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB.	128
6.11	Kruskal Wallis H-Test for Occupation with regards to statements which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB.	129
6.12	Kruskal Wallis H-Test for Income with regards to statements which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB.	131
6.13	Spearman's Rank Correlation test to know association between customer overall satisfaction and Customer's agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB.	134
6.14	Spearman's Rank Correlation test to know association between customer like to prefer VCB for taking loans and advances and Customer's agreement or disagreement with respect to performance expectancy of loan and advances provide by VCB.	136

INTRODUCTION OF STUDY

Place your finger randomly on any Map of the world, is it developed, underdeveloped or a growing place. It is to discover one needs to simply concentrate on financial standing, on the off chance that you observe it to be a developing you can be certain that there in that place presence of astounding organization of banks to offer excellent banking services.

Bank is nerve centers of economy and vital infrastructure facility they mobilize for speeding up economic development. The progress of an individual or a general public makes as entire relies upon nature of banking services.

Bank accepting the deposits from the public & lending the loans to the public, without a complete and effective saving cash system in India it can't have a solid economy. The oversight a record game-plan of India ought to be sans inconvenience close by it ought to can address new difficulties presented by the advancement and some other outside and inward sections.

This undertaking is taken up to contemplate the various loans and advances given by the Varachha Co-usable bank. Advances and Advances is a significant help delivered by the Bank to its customer. Means every single bank award of Loans and Advances to its client for the assurance of addressing their requirements and needs. Loans and Advances has a fundamental impact in acquiring and net benefit of the bank.

Granting of Loans & Advances is a significant function of all the banks. Such Loans & Advances are given to the customers & to business networks at a noteworthy amount of interest. The banks are charging the amount of interest rely on the loan amount received from the bank & the term of loan or based on maturity period. Banks receiving interest on loans, and through this process banks are generating income.

Today banks are confronting intense contests. The customers have a wide selection of brands to choose from. To endure the opposition, the banks need to make

a superior showing of meeting and fulfilling customer needs than their rivals. In the serious situation customer is the lord. The typical movement an issue in the present advertising situation is profoundly customer driven. Many financial organizations in India give simple advances and that are handled in a day time. This has made the loan framework very well known. From this review to dissecting the information by utilizing different tools and discovering the degree of Perception and Satisfaction. The review will assist the keep bank with distinguishing the issues in the loan scheme given by the bank. Especially the cooperatives with restricted administrations have much greater test to build their customers against to the individuals who have different sorts of administrations.

In such circumstance, services augmentation can be a useful mediation to stand up in the opposition. To broaden the services, such customer Perception and Satisfaction review ought to be completed. Arranging should be possible dependent on the discoveries and the customers will have sensation of possession when the agreeable make do according to the idea given by the customers. Along these lines, given review was done with the expect to build the customers to adapt up to the high contest on the lookout.

BANKING INDUSTRY PROFILE

INTRODUCTION OF BANKING:

Current time bank is significant piece of business and it is outfitted services to associating businessmen for asking managing. Banking has assumed a vital part in the financial advancement of countries of the world. Truth be told, banking is the backbone of current trade. In this way, rely on financial that any discontinuance of banking action. In any event, for a little while. This totally deadens the financial existence of a country.

A bank is a financial institution which acknowledges deposits, pays interest on pre-defined rates, clears cheque, makes credits, and frequently goes about as a mediator in monetary exchanges. It likewise offers other monetary types of assistance to its customers. Bank the board administers have different concerns related with bank to amplify benefits.

BANKING INDUSTRY AT GLOBAL LEVEL:

Banking Industry during the Covid-19 Pandemic:

The banking industry's aggregate reaction to the pandemic so far has been remarkable. It was no simple accomplishment to go completely virtual and execute an untested working model very quickly. Regardless of certain hiccups, many financial tasks were executed without a hitch. Customers were served, employees were productive, and controllers were consoled. Banks adequately sent innovation and showed remarkable deftness and strength.

All the more significantly, banks had an essential impact in balancing out the economy and sending government upgrade and help programs in the United States, Canada, the United Kingdom, Japan, and numerous European nations, among others. Banks' sound capital levels before the pandemic likewise moderated the adverse consequences from the emergency and should make ready for the worldwide economy to flourish later on.

For the banking industry, the economic consequences of the pandemic are not on a similar scale as those during the Global Financial Crisis of 2008–10 (GFC), however they are as yet prominent. Notwithstanding the monetary aftermath, COVID-19 is reshaping the worldwide banking industry on a number of dimensions, ushering in a new competitive landscape, stifling growth in some traditional product areas, prompting a new wave of innovation, recasting the role of branches, and obviously, speeding up digitization in pretty much every circle of banking and capital business sectors.

A portion of these powers were at that point moving before COVID-19. Worldwide GDP development was disappearing; however, the pandemic exacerbated the slowdown. The International Monetary Fund (IMF) anticipates that global GDP should decay by 4.4%, or nearly US$6.2 trillion of every 2020. Notwithstanding a potential bounce back in 2021, worldwide GDP could in any case be US$9.3 trillion lower than what was generally anticipated a year prior. This exceptional compression in the worldwide economy has currently seriously decreased credit development and installment exchange volumes. These decreases have been to a great extent offset by close record levels of exchanging incomes and abundance the board charges. Yet, as the pandemic proceeds, banks will probably be faced with a more noteworthy portion of bothered resources on their books.

BANKING INDUSTRY IN INDIA:

Introduction

As per the Reserve Bank of India (RBI), India's banking sector is adequately promoted and very much managed. The monetary and financial conditions in the nation are far better than some other country on the planet. Credit, market and liquidity hazard studies recommend that Indian banks are by and large versatile and have withstood the worldwide slump well.

Indian banking industry has recently witnessed the carry out of innovative banking models like payments and small finance banks. RBI's new measures may go a far in helping the rebuilding of the domestic banking industry.

The digital payments system in India has evolved the most among 25 nation with India's Immediate Payment Service (IMPS) being the only system at level five in the Faster Payments Innovation Index (FPII).

Market Size

The Indian banking system comprises of 12 public sector banks, 22 private sector banks, 46 foreign banks, 56 regional rural banks, 1485 urban cooperative banks and 96,000 rural cooperative banks in addition to cooperative credit institutions As of November 2020, the total number of ATMs in India expanded to 209,282.

Asset of public sector banks remained at Rs. 107.83 lakh crore (US$ 1.52 trillion) in FY20.

During FY16-FY20, bank credit grew at a CAGR of 3.57%. As of FY20, total credit stretched out flooded to US$ 1,698.97 billion. During FY16-FY20, deposits grew at a CAGR of 13.93% and arrived at US$ 1.93 trillion by FY20.

As per the RBI, bank credit stood at 108.79 trillion (US$ 1.46 trillion) and bank deposits remained at Rs. 155.14 trillion (US$ 2.08 trillion), as of July 16, 2021.

Credit to non-food industries remained at Rs. 107.93 trillion (US$ 1.45 trillion), as of July 16, 2021.

Investments/Developments

Key investments and developments in India's banking industry include:

- In July 2021, Google Pay for Business has enabled small merchants to access credit through tie-up with the digital lending platform for MSMEs—FlexiLoans.
- In December 2020, in response to the RBI's cautionary message, the Digital Lenders' Association issued a revised code of conduct for digital lending.
- As of June 23, 2021, the number of bank accounts—opened under the government's flagship financial inclusion drive 'Pradhan Mantri Jan Dhan Yojana (PMJDY)'—reached 42.55 crore and deposits in Jan Dhan bank accounts totalled >Rs. 1.44 lakh crore (US$ 19.31 billion).
- On November 6, 2020, WhatsApp started UPI payments service in India on receiving the National Payments Corporation of India (NPCI) approval to 'Go Live' on UPI in a graded manner.

- In October 2020, HDFC Bank and Apollo Hospitals partnered to launch the 'Healthy Life Programmed', a holistic healthcare solution that makes healthy living accessible and affordable on Apollo's digital platform.
- In 2019, banking and financial services witnessed 32 M&A (merger and acquisition) activities worth US$ 1.72 billion.
- In March 2020, State Bank of India (SBI), India's largest lender, raised US$ 100 million in green bonds through private placement.
- In February 2020, the Cabinet Committee on Economic Affairs gave its approval for continuation of the process of recapitalization of Regional Rural Banks (RRBs) by providing minimum regulatory capital to RRBs for another year beyond 2019-20 - till 2020-21 to those RRBs which are unable to maintain minimum Capital to Risk weighted Assets Ratio (CRAR) of 9% as per the regulatory norms prescribed by RBI.
- The NPAs (Non-Performing Assets) of commercial banks recorded a recovery of Rs. 400,000 crores (US$ 57.23 billion) in the last four years including record recovery of Rs. 156,746 crores (US$ 22.42 billion) in FY19.

Government Initiatives

- In August 2021, Prime Minister Mr. Narendra Modi launched e-RUPI, a person and purpose-specific digital payment solution. e-RUPI is a QR code or SMS string-based e-voucher that is sent to the beneficiary's cell phone. Users of this one-time payment mechanism will be able to redeem the voucher at the service provider without the usage of a card, digital payments app, or internet banking access.
- As per Union Budget 2021-22, the government will disinvest IDBI Bank and privities two public sector banks.
- As per Union Budget 2019-20, the Government proposed fully automated GST refund module and an electronic invoice system that will eliminate the need for a separate e-way bill.
- Government smoothly carried out consolidation, reducing the number of Public Sector Banks by eight.

- As of September 2018, the Government of India made Pradhan Mantri Jan Dhan Yojana (PMJDY) scheme an open-ended scheme and added more incentives.
- The Government of India planned to inject Rs. 42,000 crores (US$ 5.99 billion) in public sector banks by March.

BANKING INDUSTRY IN GUJARAT:

Nationalized banks decreased the quantity of branches serving customers in Gujarat by 278, in the last one year, the resent report published by the State Level Bankers' Committee (SLBC-Gujarat) expressed here. In correlation, there has been a 5.5 percent development in number of branches worked by private banks.

Contrasted with the 5,257 branches worked by nationalized banks in 2019-20, the numbers dropped to 4,979 during 2020-21, expresses the SLBC report. Bankers in the state say the dip in number of branches is the result of amalgamation of different banks since the last two years.

"The impact of different amalgamations that have happened since 2019 is now showing. Dena Bank and Vijaya Bank were first merged with Bank of Baroda in 2019, from that point 10 different banks were merged to create four banks. The branches of amalgamated banks that were found near to each other and those found unviable were closed or merged with existing ones. The amalgamation was an enormous exercise," an SLBC official

In any case, nationalized banks that were not part of the amalgamation exercise also cut down on the number of branches. For instance, State Bank of India reduced 13 branches in Gujarat and Indian Overseas Bank reduced four branches. Nationalized banks have been lessening their impression in Gujarat even before the amalgamation began. In the year 2017-18, public sector banks operated as many as 5422 branches, while private banks had only 1607 branches. Thereafter, the number of branches of nationalized banks have fallen consistently.

In contrast, private banks increased their presence in the state during 2020-21. The number of branches of went up to 2,225 at the end of March 2021, after 116 branches got added. Small finance banks and cooperative banks increased the number of branches in their state by 68 and 9 respectively.

DEFINITION OF BANKING:

"A Banking company is a company, which accepts money with low rate, and investment at deposit of money with high rate."
~Banking Regulation Act(1949)

According to the Indian Banking Companies Act. 1949,

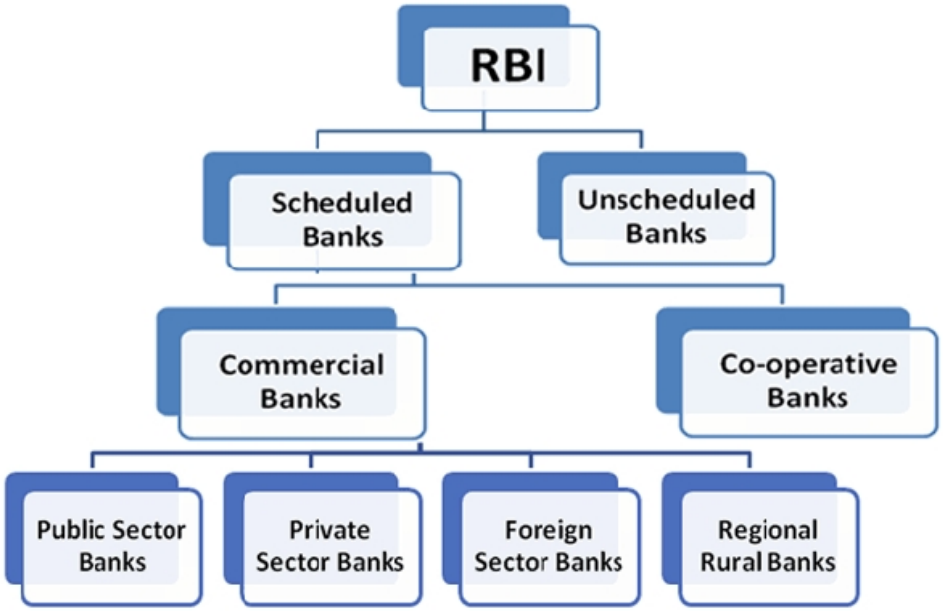
"A Banking company is a company, which transacts the business of banking in any state of India."

"Banking means the accepting for the purpose or investment of deposits of money from the public, repayable on demand and withdrawal by cheque, draft, and order or otherwise."

TYPES OF BANK:

1. Central Bank – Reserve Bank of India (RBI)
2. Commercial Banks
    - Public sector Banks
    - Private Banks
    - Foreign Banks
3. Co-operative Banks
    - Primary Credit Societies
    - Central Co-operative Banks
    - State Co-operative Banks
4. Regional Rural Banks
5. Development Banks
6. Specialized Banks
    - Export Import Bank of India
    - Small Industries Development Bank of India
    - National Bank for Agricultural and Rural Development
7. Indian Bank-like financial institutions
    - Microfinance institutions
    - Development financial institutions

STRUCTURE OF INDIAN BANKING SYSTEM:



Introduction about Co-operative banks:-

Individuals who meet up to together serve their regular intrigue frequently shape a Cooperative civilization below the Cooperative Societies Act, at the point when Cooperative society connects with itself in handling an account business it is well-known as a Cooperative Bank. The common community needs to acquire a permit from the RBI before beginning saving money business. To some extent Cooperative bank as a general public is to work under the general supervision of Registrar, Cooperative Societies of State. As respects saving money business, the common community must take after the rules set and given by the RBI.

Definition of Co-operative:

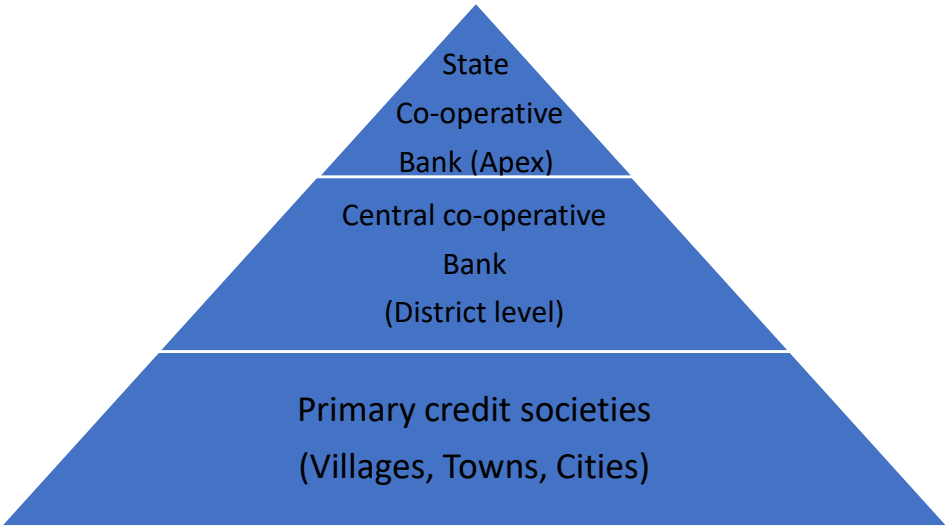
"Co-operative is one type of organism in which people join willingly to encourage their equal financial interest."

~HEWERT KELWERT

Co-operative banks are best reasonable for this reason. The target of co-operative banks is to offer banking facility to people of restricted means requiring credit for useful reason in the utilization of the land and work available to them. The co-operative financial design in India might be isolated into their component part.

Structure of Cooperative banks:-

Three kinds of Cooperative banks are there in our country. They are as follow:



1. Primary Credit Societies:-

These are molded at the town or town level of borrower and non-borrower people abiding in one region. The activity of each overall population is restricted to a little area so the people know each other and can see over the activities, all things considered, to expect swindles.

2. Central Cooperative Banks:-

These banks work at the district level having a part of the fundamental credit social orders having a spot with similar locale as their people. These banks offer advances to their people (i.e., fundamental recognize social orders) and limit as a connecting between the fundamental credit social orders and state co-agent banks.

3. State Cooperative Banks:-

There are a couple of banks, which takings dependent on account the necessities and give general support to set up business specifically scopes of activity. EXIM Bank and SIDBI and NABARD is instances of such banks. They connect with themselves in some specific reach or development and in this manner, are called explicit banks.

Role of RBI:

Co-operative banks come under supervision of RBI.

Rules for Urban co-operative Bank :

- Regulatory, Supervisory, Operational and Developmental Functions (Carried out through the Urban Banks Department).
- RBI infers power to control and manage the urban banks through the Banking Regulation Act, 1949 (As Applicable to Cooperative societies).
- License to commence banking business under Section 22 of B.R. Act, 1949 (AACS).
- License to open branches & extension counters.
- Permission to deal in foreign exchange.
- Issue of directions to maintain cash reserve and liquid assets.
- Power to control advances (Section 21) - Purposes for which advances are given, margins to be maintained.
- Issue of prudential and operational guidelines.
- Directions on maximum limit on advances, prescribe guidelines on individual / group exposure norms.
- Issue of requisition to RCS for supersession of board of management of bank / liquidation of banks.
- Interest rates on deposits and advances (Section 21).
- Issue of Direction (Section 35A) Imposition of penalty (Section 46).
- Cancellation / rejection of license (Section 22(4)).
- Prescription towards CRR / SLR . Grant of scheduled status.

- Till now, every one of the co-operative banks went under double guideline of the RBI and the Registrar of Co-operative Societies, coming about in administrative and administrative failures at a considerable lot of these banks.

    - The RBI had no powers to draw up an enforceable scheme of reconstruction of a co-operative bank.
    - However, from now onwards the urban and multi-state co-operative will come under the direct supervision of RBI

PESTEL ANALYSIS:

The financial business influences all countries. But, it's docile to many variables, especially to the public authority and the economy. Banks can't act autonomously and should offer types of assistance dependent on explicit laws that influence their development and contributions.

This PESTLE analysis highlights key factors affecting the banking industry.

Political factors: A tool for the big guys:

The banking sector looks almighty yet it's powerless to a greater goliath: the government. Government laws influence the condition of the banking sector.

The Government can mediate in the questions of banking at whatever point, leaving the business helpless to political impact. This incorporates corruption among This political groups, or specific legislative laws for example labor laws, trade restrictions, tariffs, and political stability.

Economic factors: Easily influenced:

The banking industry and the economy are tied. How income flows, whether the economy is prospering or barely surviving during times of recession, affects how much capital banks can access. Spending habits, and the reasons behind them, affect when customers borrow or spend funds at banks.

Additionally, when inflation skyrockets, the bank experiences the backlash. Inflation affects currency and its value and causes instability. Foreign investors think twice before providing their funds when a particular country's currency value is high. Exchange rates also affect banks globally stable currencies such as the US dollar impact other currencies, spending habits, and inflation rates in other countries.

Sociocultural factors: Consumers want ease:

Social impacts, for example, purchasing practices and necessities, influence how individuals see and use banking choices. Individuals go to banks for counsel and help for loans identified with business, home, and academics. Consumers look for information from bank employees with respect to saving accounts, bank related credit cards, investments, and more. Consumers want a consistent banking experience.

Furthermore, innovation is creating to permit consumers to purchase product simpler, without needing help straightforwardly from banks.

Technological factors: Smartphones to the rescue:

Once, it was relied upon to visit the neighborhood bank to make changes to monetary accounts. Yet, not any longer.

Technology is changing how consumers handle their funds. Many banks offer a portable application to witness accounts, transfer funds and pay bills on smartphones.

Cell phones can examine checks, and the bank can deal with it from their end, at their area. This change assists with saving paper and the need to drive straightforwardly to the branch to deal with these undertakings.

Debit cards are likewise evolving. Chips have been executed, expecting clients to embed their card into debit machines instead of swiping them. Different countries, like Canada, have executed a "tap" alternative tapping the debit card onto the gadget, requiring no pin, for an exchange to complete. These progressions make it simpler on the client to make buys without required interruption from banks.

Indeed, even banks themselves are using technology inside the work environment. Telecommunicating through virtual gatherings is being embraced. It replaces the requirement for in-person gatherings.

Legal factors: Strict guidelines:

The banking business observes severe laws in regards to protection, consumer laws, and exchange designs to confirm systems inside the business. Such designs are needed for customers in the apportioned country and for worldwide clients.

Environmental: Reduced footprint:

With the utilization of technology — especially with versatile banking applications — the utilization for paper is being diminished. Moreover, the need to drive straightforwardly to a branch to deal with undertakings is limited too.

Many issues are deal with through mobile applications and online banking services. Consumers can apply for credit cards online, buy cheques online, and have

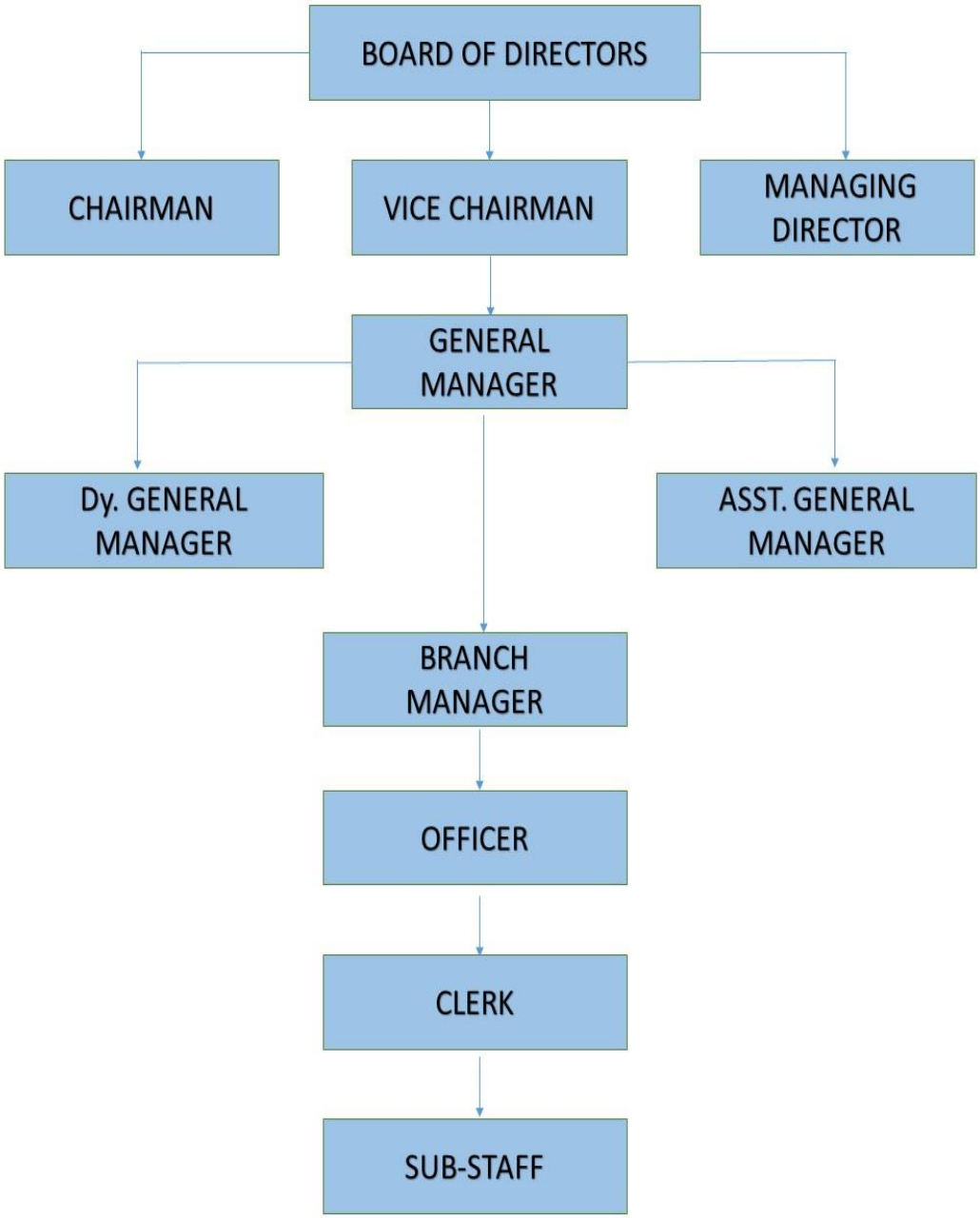
many of their banking questions answered online or by phone. Thus, reducing individual environmental footprints.

PROFILE OF THE VARACHHA COOPERATIVE BANK LTD.

INTRODUCTION OF THE VARACHHA CO-OPERATIVE BANK (VCB):

Name of Bank	The Varachha co-operative Bank
Type of Bank	Co-operative Bank
Established	1995
Founder	Shri P.B.Dhakecha
Chairman	Shri Bhavanbhai B. Navapara
GM & CEO	Shri. Vitthalbhai B. Dhanani
Total Employees	290
Total Branches	23+1(Admin)
ATM	9(onsite)+1(offsite)
Head office	Affil Tower, Lambe Hanuman Road, Surat-395006, Gujarat, India. +91 261 2308090 info@varachhabank.in
Admin office	Mezzanine Floor, Adatiya Awas, Old Bombay Market, Umarwada, Surat-395010, Gujarat, India. +91 261 2308090 info@varachhabank.in

ORGANIZATIONAL CHART OF VCB:



BORD OF DIRECTOR AND VCB TEAM:

NAME	DESIGNATION
Shri P. B. Dhakecha	EST. CHAIRMEN
Shri B. B. Navapara	CHAIRMEN
Dr. L.M. Nakrani	V. CHAIRMEN
Shri. K.R. Bhalala	M. DIRECTOR
Shri P. T. Patel	DIRECTOR
Shri G. R. Asodariya CA	DIRECTOR
Shri K. R. Vadariya	DIRECTOR
Shri V. P. Savani	DIRECTOR
Shri B. V. Mangukiya	DIRECTOR
Shri J. K. Patel	DIRECTOR
Shri K. B. Marakana	DIRECTOR
Shri R. L. Bambhroliya	DIRECTOR
Smt. V. R. Vaghani	DIRECTOR
Shri A. D. Bhalani	ADVISER
Shri V. B. Dhanani	GENERAL MANAGER
Shri A. D. Kakadiya	DEPT. GENERAL MANAGER
Shri P. D. Kelawala	ASST. GENERAL MANAGER
Shri D. S. Bhuva	ASST. GENERAL MANAGER
Shri A. V. Pansheriya	ASST. GENERAL MANAGER
Shri S. L. Bhut	ASST. GENERAL MANAGER

HISTORY OF THE VARACHHA CO-OPERATIVE BANK:

Individuals of Saurashtra of Western Gujarat have moved away from their downpour starved local to Textile and Diamond city of Surat in look for income generation and endurance right around forty years prior. From that point forward Saurashtrians have considered Surat as their country. Subsequent to coming to Surat, a few people started exchanging business while greater part of them went in the process of labour front. In a staged way, the population of the people, involved in diamond trade, belonging to Saurashtra increased to a sizeable extent in Surat, especially in the space of Varachha, making it obligatory to have their very own Bank.

Along with a notable donor, author, columnist and social reformer Shri P. B. Dhakecha and others from Saurashtra, conceived a thought of a Bank, subsequently The Varachha Cooperative Bank Ltd. appeared on 16th October 1995 which was inaugurated by progressive Saint Shri Swami Sacchidanandji. Our board individuals are from diamond trade but also from textile, real estate and service sectors.

At the end of the first financial year in 1996 the number of shareholders was 4484, share capital was of Rs.57.44 lacs, deposits was of Rs.2.70 crores, advances was of Rs.2.07 crores and profit stood at Rs. 4.77 lacs. and as on today these figures stand at 51757, Rs.30.80 crores, Rs.2200.47 crores and Rs.985.19 crores and Rs.15.77 crores respectively. This incredible development of the Bank is exclusively a direct result of confidence rested by individuals of Surat upon our Bank.

Technology has consistently stayed on our front and we are among the firsts to acquaint data technology with its best for the advantages of our customers and controlling specialists. At present we are furnishing branchless core banking services alongside SMS, RTGS-NEFT, Debit Card, BBPS, IMPS 24 x 7 x 365, Net/Mobile Banking, UPI and so on most moving specialized services. Likewise, The Bank have 8 e-Lobby where Varachha Bank's customer can do banking exchange 24 x 7 x 365 through ATM, Cash Deposit Machine, Check Deposit Kiosk and Self Passbook Machine.

Bank has additionally procured 25 Cash Recycler Machine and 10 ATMs, introduced

at different branches, which won't just be connected among themselves yet will have cross country connectivity. This undertaking of offering office to our customers to approach more than 2.48 Lacs ATMs introduced at other nationalized and unfamiliar banks the nation over will make The Varachha Co-Op. Bank Ltd. as one of the principal Co-Op. Banks of Gujarat to do as such.

MISSION:

The Varachha co-operative bank is committed to satisfy its banking customers, shareholders, employees and regulators through continually improving banking services. innovation in products, technology up gradation, knowledge of team work and strengthening customer relationship.

VISION:

- Satisfying customer through faster services and latest technology and services.
- Regulators through higher rating during inspection audits.
- Technically qualified staff to meet challenges of high-tech banking.
- Inter branch connectivity.
- Banker's presence in metros.
- Satisfying Share holder through regular and highest dividend. To be No.1 urban co-operative bank among all co-operative bank.

SOCIAL CONTRIBUTION:

Arrange blood donation camps

On 2nd October 2008 Bank has organized Mega Blood Donation Camp and collected 2222 bottles of blood. Bank gives Rs.50000/- accident insurance cover to all the blood donors.

Again on 2nd October 2009 Bank has organized Mega Blood Donation Camp and collected 3456 bottles of blood. Bank gives Rs.50000/- accident insurance cover to all the blood donors.

Accident Insurance

Bank has taken Group Insurance Policy consistently for its esteemed Share Holders

and Customers for Rs.50000/ - to Rs.300000/ - [Depending upon different accounts]. Under this service, insurance agency paid roughly Rs.1.25 Crore to its Share Holders and Customers through bank.

Active Role in Samuh Lagna

Bank representatives had effectively taken an interest and accommodating in Mass Marriage System coordinated by Saurashtra Patel Seva Samaj every once in a while, in different ways.

Swachh Bharat Abhiyan

Our Bank are routinely contributing exertion for the mission looks to accomplish the objective of Clean India in next five years with the goal that the150th birth anniversary of Bapu can be celebrated as an accomplishment of this duty.

Bank has also volunteered itself for many social causes in past and even continue to do in present, notables being as under :

1. Promotion and execution of Mass Marriages
2. Building and upkeep of Check dams in Saurashtra
3. Spreading awareness to stop Female-feticide
4. Creation of fund for family of soldieries who have sacrificed their lives
5. Blood, eyes and body donations
6. Insuring all its shareholders and accountholders.

PROGRESS OF THE VARACHHA COOPERATIVE BANK:

Year	Share Holders	Share Capital	Deposit (Rs. In Cr.)	Advance (Rs. In Cr.)	Gross Profit	Account Holders	Audit Class	Dividend Rate
2011	18766	7.29	273.95	115.88	4.06	128516	A	15.00%
2012	18837	7.90	289.70	155.88	5.05	140249	A	15.00%
2013	21891	9.11	345.58	217.60	5.31	168630	A	15.00%
2014	27057	10.9	453.76	280.40	6.41	196775	A	15.00%

		6						
2015	30317	13.16	621.31	385.23	9.18	284136	A	15.00%
2016	33618	15.46	875.46	491.53	10.15	304708	A	15.00%
2017	37231	17.59	1313.01	521.02	11.65	411224	A	15.00%
2018	42062	21.87	1445.58	694.85	12.80	425650	A	15.00%
2019	45656	25.29	1524.09	795.46	14.14	449509	A	12.00%
2020	48855	28.23	1767.64	852.88	14.98	459343	A	12.00% (Proposed dividend)
2021	51757	30.80	2200.47	985.19	15.77	474991	A	12.00% (Proposed dividend)

PRODUCT AND SERVICES PROFILE:-

DEPOSITS:

- **Savings Bank A/c:**

  Saving bank account stays a kind of demand deposit and saving bank account is the main account of commercial banks, in The Varachha cooperative bank additionally SB a/c is a primary account. The bank collects the sum from the customers for the assurance of encourage the saving bank of general society. Middle- and small-income group people typically open this SB account. For saving money saving bank account is safe, convenient and reasonable way. Individuals are introductory this account for the assurance of save their piece of current income for the future and banks likewise gives interest on savings deposited amount.

Features of SB A/c:-

- SB A/c's are opened by middle- and small-income group people.
- It promotes habit of savings among the public.
- Customers open this a/c with a desire of acquiring interest on deposits.
- It can be opened a very small deposit just Rs.1500/- with 9 pages cheque book
- Proper summary is necessary for opening SB account.
- Deposits for this account are made by filling the pay-in-slip and withdrawals are made either by cheques or special withdrawal form.

- **Current A/c :**

Current account is likewise principle account in The Varachha cooperative bank and current a/c is a sort of interest deposit, current account is additionally called as Active account. Advantages of the current a/c are involved by the commercial and modern endeavors. In this account the a/c holder can continuously deposit and pull out the sum from his account for any numeral of times and over draft office is there for just current account holder.

Features of Current A/c:-

- Generally current accounts are open for commercial and industrial undertakings.
- Minimum Rs.5500/- needed for opening current account.
- A customer can deposit to a current a/c any amount of money and any numeral of times, also, he can withdraw from his account any amount and many times as he prefers.
- In current account also deposits are made by filling in the pay-in-slip and withdrawal from the account is made by cheque.
- Interest is not given on current deposits.
- Over draft facility is there for current a/c holder.

- **Fixed Deposit:**

Fixed deposit is additionally recognized as 'Term deposit'& fixed deposit is a kind of time deposit. Fixed deposits are liked by large numeral of financiers because fixed deposit amount is sans hazard investment.

Individuals deposit their sum in the FD a/c for a specific time frame period with an amount of interest, in this FD a/c the amount of interest established on the maturity time implies if longer maturity period implies a/c holder can get more prominent interest rate and it is lower in circumstance of lower maturity time.

- Interest paid on finish of term
- Any amount
- Varachha Bank gives advantages to Senior Citizens(60 Years or above) by giving 0.50 % Extra rate on Fixed Deposits Scheme.

- **Recurring deposit:**

  RD a/c is a sort of time deposits; Recurring deposit account is opened by fixed and ordinary income holder. In this sort of account individuals can contribute/deposit cash on a month reason for a proper rate of return. Toward the completion of the maturity time investor can get the principal amount and just as the interest acquired during that period. For little income people this recurring deposit is the best investment funds choice.

  Features of Recurring deposit:-

  - Recurring deposit are opened who take fixed monthly income.
  - The least investment of this recurring deposit is unique from bank towards bank however the investment begins from 100/ - . Here is no maximum cutoff in contributing.
  - Interest Rate : according to different Deposits
  - Maturity period scope of RD a/c beginnings from 1-year to10 years.
  - In recurring deposit no withdrawal from the a/c prior the end of the fixed maturity time.

- **Automatic renewal Deposit:**

  The renewal clause is accessible as an auto-renewal feature, wherein the bank or financial institution will automatically renew your deposit for a similar timeframe and at a similar interest rate on maturity.

  Deposit Period : Minimum 1 Month to limitless

BANKING SERVICES:

- **Demand Draft:**
  - Demand Draft is way for remitters to transfer money
  - A demand draft is safer than an ordinary cheque as it can only be credited to a particular payee's account, and a customer can only be reimbursed under indemnity if the draft is lost or stolen.

- **Locker:**
  - Interest rate is receivable on locker reserve deposit
  - All locker's depth size is same 19.35 inch
  - Locker holder will permit to put own Additional individual lock in locker box
  - Locker holder will permit to apply own simple lock on locker box

- **Stamp Franking:**

  A machine that automatically stamps letters or packages passing through it and computes the complete charge. Franking is somewhat of computer device. The Varachha Co Operative Bank has been allowed for stamp franking by Govt. Of Gujarat.

- **Insurance facility:**
  - Pradhan Mantri Jivan Jyot Bima Yojana
  - Pradhan Mantri Suraksha Bima Yojana
  - Accident Insurance
  - General Insurance
  - RuPay Card Insurance
  - Insurance Customer's Reviews

TECHNOLOGY INITIATIVES

- **CBS:**

  100% CORE BANKING (CBS) Implemented

- **ATM:**

10ATMs.

The services offered through our ATMs:

- Normal Withdrawal
- Fast Cash Withdrawal
- Green PIN
- Balance Inquiry
- Mini Statement
- Pin Change
- Mobile No. Update
- Cheque Book Request
- Fixed Deposit Request
- Inter Branch Fund Transfer
- Mobile Recharge
- DTH Recharge

- **Debit Cards:**
  - Withdrawing cash and different services at ATMs Point of Sales (PoS) terminals at chose shops/merchant establishments for purchases/making bill payments.
  - To make e-commerce transactions - booking train/bus/plane tickets, online purchases, payment of utility bills etc.
  - Non-personalized Debit cards issued on the same day of opening of the account.

- **SMS ALERTS:**

  Upon registration of their Cell (Mobile) number, our customers get SMS Alerts on their Mobile f or the following events:
  - For transaction.
  - When the balance in the account goes underneath the predetermined amount alert message is generated.
  - Alerts of Term Deposit maturity of 5 days in advance.
  - Loan installments alerts 5 days in advance.

- **NEFT/RTGS :**
  - RTGS/NEFT is one of the safest modes of fund transfer.
  - Avoid long holding up period
  - Credits the Beneficiary's A/c The Same Day Through RTGS
  - Credits the Beneficiary's A/c The Same Day/Next Day If Remittance Done Late in The Day
  - No need of actual cheque/Demand draft
  - Reduces time/cost/effort
  - Reduces Paper work and develop efficiency
  - Varachha bank RTGS/NEFT liberated is from cost for any amount (at opening Balance)

- **Mobile Banking :**
  - Fund Transfer
  - Manage Services (To Stop/Start Service & To Increase/Decrease Per Day Transaction Limit)
  - IMPS Transaction (24 x 7 x 365)
  - NEFT Transaction
  - Schedule Transfer
  - Utility Bill Pay(Gas, Electricity, Water Bill etc.)
  - Recharge (Mobile/DTH)
  - ATM Card On/Off/Block
  - Detailed Statement (1 Year)
  - Cheque Book Request
  - Cheque Stop Payment Request
  - Clearing Cheque Status (I/W / O/W) etc.

- **Digital Banking:**
  - ATM Services
  - ATM Green PIN
  - Net / Mobile Banking
  - Cash Recycler Machine
  - Cheque Deposit Kiosk

- Self-Passbook Print Machine
- Missed Call Service
- SMS Alerts
- IMPS
- UPI
- RTGS-NEFT

- **Internet Banking:**
  - Internal Fund transfer
  - NEFT
  - Online Fixed Deposit
  - Self-Statement Print
  - Cheque Book Request
  - Cheque Stop payment Request
  - Utility Bill Payment
  - ATM Card On/Off
  - ATM Card Blocked

- **Cash Recycler Machine:**

  The Cash Recycler machine (CR) is a self-service terminal that lets you and me to put aside installment and withdrawal exchanges of money. All effective exchanges are promptly credited or debited continuously and customers will be given an affirmation slip confirming the exchange. An individual having Debit Card can utilize the CR machine for withdrawal, but to utilize the CR machine for depositing the Cash, customers need to have his/her Varachha Bank debit card. The exchange receipt likewise gives you your updated account balance.

  Other services:
  - Normal Cash Withdrawal
  - Fast Cash Withdrawal
  - Green PIN
  - Balance Enquiry
  - Mini Statement

- PIN Change
- Inter Branch Fund Transfer
- Mobile Recharge
- DTH Recharge

LOANS SERVICES:-

Main Loan Services:

- Gold Loan
- House Loan
- Cash credit loan(CCL)
- Mortgage Loan
- Vehicle Loan

Other Loan Services:

- FD Loan
- Self-Employee Loan
- Education Loan
- Machinery Loan
- TUF Machinery Loan
- Corona Fast Loan
- Roof Solar Plan Loan

Gold Loan:

Eligibility of borrower	• Having current / saving account holder of the Bank. • KYC norms should be noticed. • Applicant must have their own ornaments. • Borrower must be a member /nominal member of the bank.
Motive for taking Loan	• Any individual requirements.
Quantum of finance	• Loan up to 75% of gold value [monthly average price of bullion market] or Rs. 20,000/- per 10 gram whichever is

	less will be considered. • Maximum amount of loan to an individual is Rs. 1.85 lakh.
Repayment period	• Within 12 months for repayment of total loan. (As Bullet recovery)
Rate of Interest	• 9.00% p. a.
Security	• Pledge of gold ornaments with the Bank.

House Loan:

Eligibility of borrower	• Must complied with the norms of KYC and having current / saving account holder of the Bank. • Borrower should be a member of the Bank. • Have great reputation and credit worthiness. • Having adequate score in CIC's reports.
Motive for taking Loan	• Purchase/Construction of residential building for his own utilization.
Quantum of finance	• Up to 85% of board valuer's valuation report. • Up to 85% of authenticated agreement of sale + agreement of construction work or extra construction work + applicable stamp duty + registration fee + Govt. Taxes + life insurance premium will be considerable.
Share Linkage	• Borrower must have Bank's share linkage @ 1% of the loan sanction amount.
Repayment period	• Maximum 180 months
Rate of Interest	8.25% p. a.
Security	Prime: • Simple mortgage property buy/constructed out of the Bank finance Collateral:

	• Third party guarantee of two personal guarantors having great Credit value and financially sound and member of the Bank.

Cash credit loan(CCL):

Eligibility of borrower	• Having operative current account holder of the Bank for over a half year. • Having great reputation, experience, credit value and a profit making. • Borrower/ Partners/ Directors/ Guarantors should be a member of the Bank. • having sufficient score in CIC's reports.
Reason for Loan	• To meet Working capital need.
Quantum of finance	• 20% of yearly turnover/ sales of the firm. • Up to 70% of the value of the paid stock addition to 70% of book debts subject to DP against book debts should not exceed 6 times of DP against stock. • Current Ratio & Debt Equity Ratio should be at agreeable level
Share Linkage	• Borrower must have Bank share Linkage @ 1% of the loan sanction amount.
Repayment period	• Review once in 6 Months and renewal in 12 Months.
Rate of Interest	**9.00 % p.a.**
Security	**Prime:** • Stock and book debts should be hypothecated to the Bank. • Stock should be stored in R.C.C. built godown own/ rented

	by the borrower. • Letter of access should be got appropriately signed by the owner. • Bank's name plate indicating stocks hypothecated to the Bank will have to be displayed on godown where the stocks stored. • Godown premises and Stock hypothecated to the Bank should be fully insured against the hazard of fire, theft, burglary, flood, riots etc. by the borrower at his own. • cost and the policy have to be with Bank clause. • Borrower needs to submit stock statement monthly or as instructed by the Bank within 7 days of the succeeding in any case punishment will be exacted for delayed submission. **Collateral:** • Up to 100% collateral security by way of equitable or simple mortgage of title free property of the borrower or underwriter. • Third party assurance of two personal underwriter having good Credit worthiness and financially sound and member of the Bank. • Simple mortgage of title cleared property of the borrower/guarantors.
Other	• Borrower has to submit stock statement monthly within 15 days of the succeeding month along with the list of sundry debtors, otherwise penalty @ Rs. 200 + GST will be levied for delayed submission.

Mortgage Loan:

Eligibility of borrower	• An individual in any capacity / professional / self - employed [other than HUF / AOP / Company / Partnership firm] who are an IT evaluates and keeping up with current / savings account with the Bank and having constructed title cleared residential / commercial / industrial property in his/her own name or jointly with parents/spouse with self-occupancy. [Agricultural land or any other open land / plot is not considerable.] • Applicant / co-applicant / underwriter should be a member of the Bank. • IT returns of applicant / co-applicant / underwriter up to 3 years along with last 3 months salary slip in case of salaried one. • KYC should be fulfilled in all respect for all. • Having sufficient score in CIC's reports with no negative remarks. • Having current / savings account holder of the Bank. Having good reputation and Credit value. • Applicant / co-applicant should have least 21 years and maximum 60 years old age. • In case if the applicant is older than 60 years, then certified copy of will is to be acquired with loan application and successors / inheritance should must be addressed as co-borrower.
Purpose of Loan	• Expand Business. • Acquiring of factory building, office premises etc.…
Quantum of finance	• Up to 60% of fair market value in case of Residential and up to 50% of fair market value Commercial property according to sanction plan. Maximum Rs. 2.00 Crore inclusive of personal life insurance premium Borrower's own occupancy on such property is compulsory

Share Linkage	• Borrower must have Bank share Linkage @ 1% of the sanctioned loan amount.
Repayment period	• Maximum up to 120 months.
Rate of Interest	12.50%
Security	Prime: • Simple mortgage of self-occupied title got property free from the candidate himself. Collateral: • Third party guarantee of two personal underwriters having good Credit worthiness and financially sound and member of the bank.

Vehicle Loan:

I. Two-Wheeler Loan:

Eligibility of borrower	• Must be complied with the norms of KYC and having current or savings account with the Bank. • Must have a valid driving license in his own name. • Must be a normal or nominal member of the Bank. • Should have his own / family member's / underwriter's residential or business property in their name in municipal record. • Having adequate score in CIC's reports
Purpose of Loan	• Purchase of New vehicle [2-wheeler]
Quantum of finance	• Authorized dealers' price citation • Up to 85 **%** of citation value [Basic price + RTO registration fee + Insurance + Vehicle tax] • In case of margin money deposited as fixed deposit under lien with the bank, loan may be considered at 100% of quotation value**.**

Repayment period	• Maximum 4 year.
Rate of Interest	13.00% p. a.
Security	• Hypothecation of vehicle for Bank • Blank TTO form appropriately signed by the borrower. • Copy of R.C. Book marked with HP provision in favor of the Bank OR HP certificate issued by RTO is to be acquire. • Vehicle must be fully insured with HP provision in favor of the Bank • One personal underwriter. • If borrower does not have any property in his own or family member's name then two personal underwriters is to be obtain and out of which one guarantor must be a property holder.

II. Car Loan:

Eligibility of borrower	• Having current / saving account holder of the Bank. • Borrower must be a member of the Bank. • Last three years income-tax return should be produced. • Must have a valid driving license in his own name, in case of unavailability of self-driving license, applicant has to produce a written declaration who will drive on behalf of him along with the copy of driver's driving license. • Borrowers should have his own/ family member's residential or business property in their name in the Govt./SMC record. • Having sufficient score in CIC's reports.
Purpose of Loan	• Purchase of new/old vehicles only.

Quantum of finance	• Up to 85% of quotation value of authorized dealer for new vehicle. • Up to 70% of valuation report of approved valuer in case of old vehicle. • In case of margin money deposited in fixed deposit with the bank, loan may be considered at 100% of quotation value.
Share Linkage	• Borrower must have Bank share Linkage @ 1% of the loan sanction amount.
Repayment period	• Maximum up to 84 monthly installments.
Rate of Interest	**9.00% p. a.**
Security	• Hypothecation of vehicle in favor of Bank. • One personal guarantor having his own property and last year's income-tax return. • Copy of R.C.Book marked with HP clause in favour of the Bank or HP Certificate issued by RTO is mandatory to obtain. • In case of loan amount is Rs. 30.00 lakh or above, original sale deed / agreement of the property of the borrower or his family member to be obtain with power of attorney in favour of Bank. • In case of commercial vehicle, declaration of borrower with valid license of driver, and if loan amount is Rs. 5.00 lakh or above, original sale deed/agreement of property of borrower or guarantor is to be obtain with power of attorney in favour of Bank.

ADVANCES:-

An advance is a credit office gave by the bank to its customers. It contrasts from credit as in advances may be considered more term, anyway progresses are consistently give up for a short time span. Advance the motivation driving allowing

propels is to meet the normal necessities of business. The rate of premium charged on propels shifts from bank to bank. Diversion is charged just on the total pulled back and not on the supported aggregate.

TYPES OF ADVANCES:-

a. Cash Credit
b. Over draft
c. Discounting of Bills

- **Cash Credit:-**

  A cash credit is a financial arrangement under which a borrower is permitted an advance under a separate a/c called cash credit. In straightforward terms cash credit is nothing but banks permit the borrower to draw amount up to a specified limit. After the amount credited to the customer a/c and whenever customer wants money he can withdraw by his account. Interest will be charged for amount withdrawn.it is very popular among large scale commercial and industrial concerns in India. A cash credit usually allowed against the hypothecation of the pledge of agriculture or industrial products, such as rice, wheat, textiles etc.

- **Over draft:-**

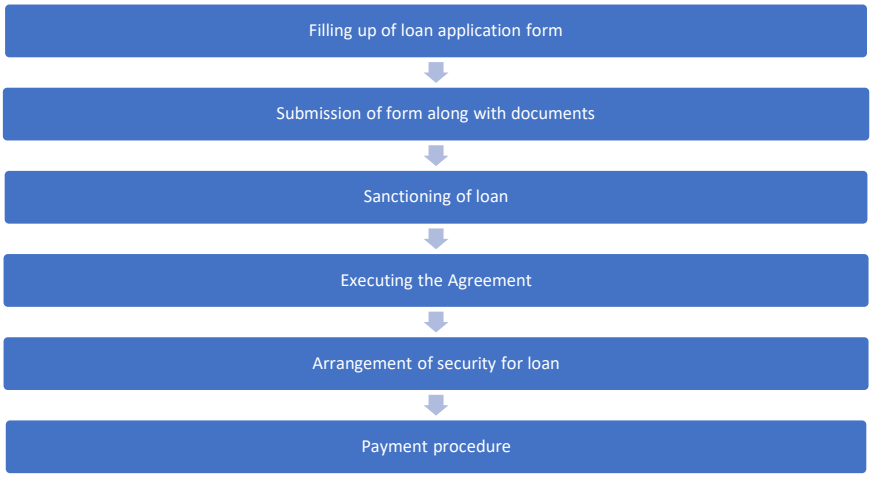
  Over draft is an additional facility providing by the bank to the current a/c holders. Over draft is similarly a credit office conceded by the bank to the customers. Over draft implies a present record holder has an open door or allowed to pull back sum from the bank despite the fact that there is no equalization in their record. Over draft office with a predetermined farthest point might be allowed either on the safety of benefit or on individual security.

- **Discounting of Bills:-**

  Discounting of bills is also credit facility providing by the bank to their customers. This is a sort of financial accommodation made among the banker & the customer. In this method the banker discounts the trade bill and accommodation bills of exchange of a limited period, like 60 days to 99 days

& credits the customer's account with the proceeds. Now bank is not providing this facility to their customers.

PROCEDURE FOR ISSUING LOANS & ADVANCES



Advantages of Loans & Advances:-

- People wants to purchase a house, vehicle etc. they can apply for loan. .
- For beginning business also loan plays a crucial role, means for staring business need some money so, people can put on for business loan
- Loan fulfills the requirements of individuals.
- Loan helps for student education also. Students can apply for education loan.

Disadvantages of Loans & Advances:-

- Loan is a long-term debt, and loan deals with specific period.
- People should pay payments within time; if people miss to pay, they will face problems.
- People cannot make early repayment

SWOT ANALYSIS:

Strengths:

- The staff member of the concern is well-experienced and trained enough.
- The bank is providing training to new employees.
- The accounts of shareholders as well as customers are fully secured by insurance.

- The bank has good brand image.
- The turnover of manpower in the bank is very less and staff members are well satisfied with the facilities given to them.
- The profit of the bank is continuously increasing.
- Customers are serviced in the best manner.
- By honoring the social welfare concept the bank is providing society welfare.

Weakness:

- Rules for deposits and loans are very strict opening deposit is high and they require perfect documents, it can be limitation for slow inflow of deposits.
- Increasing focus of commercial banks towards untapped rural sector.
- Unlike commercial banks, the cooperative banks in a limited area.
- Unable to adapt to rapid changes in technological environment

Opportunity:

- The bank has good market potential so that it can enhance or expand its business in future. The bank has to start its branches in the areas like City Light, Adajan, and Sachin and out of city or state should pick up the opportunity to discover the market.
- Better understanding among the member and the rural customer.

Threat:

- If there will be any union, it will cause problem for the bank.
- If there will be any opening of new bank with more facilities than other banks, it will hinder the progress of the bank.
- If there will any political pressure on the banking sector it will lead to decrease in productivity and efficiency.

LITERATURE REVIEW:

Ankit N. Malani 2013 for the purpose of this study is to investigate the differing preference and satisfaction level of customer towards loans, deposits schemes, insurance and value added. services rendered by various banks in Coimbatore and Erode cities. By using non convenient sampling. 250 samples were taken at various branches and ATM centers, etc. simple percentage and chi-square test result revealed that business and vehicle loans are fast moving and customers had overall satisfaction. Bank loans, bank deposit schemes showed a positive response and in value added services, customer preference for net banking got the lest rank. Among four basic services, insurance services had paid limited attention and the study recommends special attention on banking insurance service satisfaction and the implication were recorded for future research.

Gupta and Jain 2012 focused on the various practices adopted by cooperative banks in India and made a comparison of the cooperative banks with respect to their efficiency with respect to lending practices. The major findings of the study showed that majority (32% as per the study) of the respondent were having housing loan for the bank under study, most (64% as per the study) of the people prefer to take long term loan which is more than 3 years, there is a very simple procedure followed by bank for loan, easy repayment and less formalities are the main factors determining customer's selection of loans, quality of services provided by the staff is satisfactory because bank is catering to a small segment only and the customers are properly dealt with, customers are satisfied with the mode of repayment of installments, average time for the processing of loan is less i.e. approx. 7 days. The authors also suggested measures to improve the efficiency of the Cooperative banks.

Kapil Kumar Tiwari & Rashmi Somoni 2021 focused on purpose of the bank lending schemes from a customer perspective and there is no significant and positive relationship between the two sexes on the employee side. There is no significant and positive relationship between married and single people in bank loan schemes from a customer and employee perspective. Overall Satisfaction for SBI & HDFC. Data

collected through Questionnaire Survey. Statistical test applied is T-Test and ANOVA. T-test was applied to find out difference between perception of male and female gender for Loan Value of F is Total 294 are male and 296 females. Group statistics table explore the mean value of Gender is 1.7703, for std deviation is 0.42137 and for std error mean is 0. 02449.For gender T value of 72.280, Mean Difference 1.77027. As we can see from above table variation between sample means / variation within the samples value for HDFC is 31.676 and F value for SBI 12.508. Second T-test was applied to find out difference between Process to obtain personal loans through banks as we can see from table variation between sample means / variation within the samples value for HDFC is 31.676 and F value for SBI 12.508.

Vanitha Malarvizhi P. 2011 focused on study the lending practices of gold loan followed by Public sector Banks and NBFs. To analyses the preference of the borrowers towards Public sector Banks and NBFCs in availing the Gold Loan. To identify the factors influencing the borrowers to avail gold loan from Public sector Banks and NBFCs. To analyses the problems faced by the borrowers while availing gold loan from Public sector Banks and NBFCs. To measure the level of satisfaction of the borrowers in availing gold loan provided by Public sector Bank and NBFC. Data collected through questionnaire. Statistical test used are Percentage analysis, Likert scaling, Garret Ranking, Chi-square test, ANOVA. Major finding of survey is the primary factor which influenced to avail gold loan from Public sector Banks were high security for the jewels pledged, and the main factor which influenced the respondents to prefer Non-Banking Financing Companies was the adequacy of the amount provided for treasures pledged. The borrowers of Public sector Banks were highly satisfied with the safety for the security pledged, and they are dissatisfied with the quality of services provided. The borrowers of Non-Banking Financing companies were highly satisfied with the adequacy of the amount provided for jewels provided, and they are dissatisfied with the higher rate of interest charged.

Sangwan P., Bhan K.(2012) evaluated the house loan schemes Of PNB, UBI, HDFC and ICICI and studied The Customer's response regarding housing loans and their level of satisfaction and problems faced by them while dealing with the bank. The analysis of the study was based on responses given by 200 customers through

questionnaires. It was seen that all banks offered loan on fixed interest rate to individuals for whom equitable mortgage and guarantee were security with repayment period of 20 years except for PNB that had repayment period of 25 years. each bank has limit to provide loan amount except for HDFC that offers no limit. similarly, each bank charged processing charge for the loan to be provided, where UBI has least charges. Laveen's test and t-test were conducted for analyzing the results. It was seen that people get attracted to lower interest rate and low processing cost of private sector banks and moreover the behaviour of public sector bank employees is not cooperative. Most of the people have lack of money, professionals prefer home loans from 1 to 5 lakhs, majority prefer loan for construction of new house and give land papers as security for loan. it was concluded that private sector banks are better than public sector banks.

Merry Elizabeth John and Joby Joseph Thoomkuzhy (2018) have analysed the satisfaction level of the customers who are availing services from the bank and analysing the services quality dimensions of the Pathanamthitta District Co-operative banks. It also aims at developing strategies to enhance the quality of services and also to suggest different ways of improving client comfort. There are many factors manipulating their satisfaction level. Since the people in the district are mainly settled in rural areas, this study becomes significant. Primary data were received from the customers of about six branches of the Pathanamthitta District Co-operative Bank, visiting their houses and the shops. The study concludes that the people under the low-income category are the leading service takers of the co-operative banks. Even though they are happy with the service rates, they are dissatisfied with the bank in updating them with the information on new services. From the suggestion of one of the staffs, it is clear that the legal limitations put forward by the Government have restricted the growth of the co-operative banks.

Anis Ali and L.S. Bisht (2018) studied Customers' satisfaction in public and private sector banks in India. The findings showed that there is not much of a difference in the satisfaction level among the customers of the two banks with regard to the services rendered expect for the tangibles and the behavioral considerations of the employees of the public sector banks. The researcher from the findings suggested that

proper training should be provided to the employees in public sector banks, and also that they should be equipped with latest technologies to avoid inconvenience and delay.

Chithra and Muthurani (2015) this investigation directed on client discernment towards home advance in H.D.F.C are done Chennai with the 85-test size and basic arbitrary inspecting. The examination demonstrates that H.D.F.C. bank home credits has item portfolio for fulfilling diverse customer needs. The bank has got generosity and this can be utilized for advancing its administrations. In the event that new special movement and administrations presented, it will push particularly to association to expand the business.

Mittal 2014 discussed about the demographic profile of the customers and their choice of a particular type of bank. The author has focused on research by taking into account the customers of SBI and ICICI bank. The paper discussed about the customer needs, preferences and usage rate, understand the service quality perception of customers towards retail banking services. The author concluded by stating that age, occupation and education significantly influence the customer's choice for a particular type of bank. There was a significant difference between the age-wise, education-wise and occupation-wise distribution of the two types of banks. The income of the customers and their choice of a particular type of bank were independent of each other.

Shrikant R. Porje 2011 this research based on customer's perception towards the loan product of state bank of India. The Author discussed about customers wants, reason of using loans, understand trends, awareness of customers about loan services. The author concluded by stating that occupation.

Sheela (2014) examined the satisfaction level and problems faced by customers while availing loans. The study revealed that most of the respondents preferred Canara bank for availing home loans for its prompt services of the bank, low interest rates, convenient location, good reputation, less paper work, simple and fast processing

procedure, and longer repayment period. Hence it is inferred that most of the respondents preferred Canara bank because of its prompt services.

Doddaraju (2013) presented a study on customer satisfaction towards public and private sector banking services with special reference to the Anantapur District of Andhra Pradesh concluded that satisfaction level with regard to public sector unit's courtesy shown by bank staff at the counter is very low. Therefore, the banks should pay special attention to Human Resource Development (HRD) by giving timely training to the employees to conduct themselves better.

Debashis and Mishra (2014)-The study analysed and measured customer satisfaction in branch services provided by nationalized banks in northern India 1200 customers were given questionnaires and it was found out that computerization, accuracy in transactions, attitude of staff and availability of staff influenced customer satisfaction. Least important factor was promotion of the products and various schemes.

Nikunj Mataliya (2017-18) The study focused about loan and advances to know requirement of loan in different age group, too aware about different types of loan, too aware about customer satisfaction toward loan services. Data collected through questionnaire. Statistical test used is chi-square test. The major finding of the research is customer as well as employees are satisfying with the service which provided by bank. Due to these researches, the customer as well as employee needs are knowing and then implement that so that the more customer are join and firm are grow up easily. To know current position of the bank and how to implement the various service who aspect by the customer as well as employees.

Nirmaljeet Virk and Prabhjot Kaur Mahal (2012) : This paper attempts to make a comparative analysis of level of customer pride in the direction of services offered by private and public region banks. The study has been carried out in Chandigarh city. A sample of 160 customers has been selected through questionnaire method. The statistical test is carried out at 5% and 1% degree of large the main statistical equipment is used. This study shows that the manager of public bank maintaining a relationship for winning their client's satisfaction.

Pooja Kayasth (2021) the researcher mainly focused to know the people perception towards gold loan and to find out customer attitude towards choosing gold loan. Data analyses through statistical test like the frequency test (Mean, S.D., Deviation), T-test Major finding of this research is Majority of the People is known about gold loan. And their perception is about gold loan is that it is better than personal loan. Majority are borrowing gold from the bank rather than NBFCs. And Peoples choose modes of payment for gold loan is easy Instalment. People's perception is that while taking gold loan procedure is so easy and time taken less. And many factors affecting of taking gold loan but majority of respondent is now a days take a gold loan for some purposes.

Aayasha Nawaz(2017): The researcher analysed about the customer satisfaction towards services offering by SBI bank. The data were gathered through interview .There are 105 respondents (105 male and 45 male). The study is focused on which factors affecting the client's satisfaction like employee's behaviour, Infrastructure facility, quality of services offering by bank etc. The interview method used for data collection. The conclusion shows that customers have satisfied with services of SBI Bank.

N. Chithra, Mrs. M.Selina Muthurani. (2015) this study attempts to find out the customer perception towards home loans of HDFC bank in Chennai and the problem faced by the customers while availing home loans in HDFC Bank. And customers satisfaction level of about home loans HDFC bank. This bank India's second-biggest private sectors lender by assets. The bank has got goodwill and this can be used for promoting its services. If new promotional activity and services introduced, it helps very much to the organization to increase the business. The finding of the study is customer perception towards home loan of HDFC is positive.

Utkarsh Gupta , Dr. Richa Sinha.(2015) in "A comparative study on factors Affecting Consumer's Buying Behavior towards Home Loans (with Special Reference To State Bank Of India And Life Insurance Corporation, Allahabad" this the paper has a practical implication both for the academicians and for the readers in term of their

concern with the aspect issue regarding factors influencing the buyer behavior home loan. The paper is original in nature and the highlights of the paper can be used for further research purpose and provide a knowledge base to the readers. Maximum percentage of the respondents had opted for Home Purchase category of Home loan, both in LIC (42%) and SBI (48%). Fixed rate of interest is the most preferred option by the respondents regarding the purchase of Home Loan, Low Rate of Interest, Easy Accessibility, Status/Reputation of the institution Longer repayment period, Easy documentation formalities, Cooperative staff and Easy instalments are the major factors that had influenced the respondents to opt for Home Loan from SBI, whereas the factors namely Fast processing of Loan, Good communication Suggestion by friends/relatives and Trust on institution acted as the major influencing factors that influenced the respondents to opt for Home loan from LIC.

Chaubey M. (2009) in "Housing Finance in India – Problems and Prospectus" states that according to his study, it was exposed that the customers of home loans selected to take loan due to low-interest-rate firstly, easy installment schemes secondly, simple procedure thirdly and so on. About 92% of the Home Loan customers selected for a floating rate of interest whereas about 60% of the total home loan customers opted for more than 15 years and about 70% accepted that the approval and distribution of loan are generally behind as per its time schedule. It was also suggested that the details of the loan accounts of the customers must be available online for more transparency in dealing and EMIs should be available not only monthly but also quarterly and half-yearly.

Table No. 4.1 Summary of Literature Review

Author	Year	Research objectives	Research Methodology	Statistical tests	Findings
Ankit N. Malani	2013	• To investigate the differing preference and satisfaction level of customer towards loans, deposits schemes, insurance and value added. • services rendered by various banks in Coimbatore and Erode cities	Questionnaire Survey	• simple percentage • chi-square test	• Test result revealed that business and vehicle loans are fast moving and customers had overall satisfaction. • Bank loans, bank deposit schemes showed a positive response and in value added services,

					customer preference for net banking got the lest rank. • Among four basic services, insurance services had paid limited attention and the study recommends special attention on banking insurance service satisfaction and the implication were recorded for

					future research.
Gupta and Jain	2012	• The various practices adopted by cooperative banks in India and made a comparison of the cooperative banks with respect to their efficiency with respect to	Questionnaire Survey	---	• The study showed that majority (32% as per the study) of the respondent were having housing loan for the bank under study, most (64% as per the study) of the people prefer to take long term loan which is more than 3

		lending practices.			years, there is a very simple procedure followed by bank for loan, easy repayment and less formalities are the main factors determining customer's selection of loans, quality of services provided by the staff is satisfactory because bank is

					catering to a small segment only and the customers are properly dealt with, customers are satisfied with the mode of repayment of installments, average time for the processing of loan is less i.e. approx. 7 days. • The authors also suggeste

					d measures to improve the efficiency of the Cooperative banks.
Kapil Kumar Tiwari & Rashmi Somoni	2020	• Bank lending schemes from a customer perspective and there is no significant and positive relationship between the	Questionnaire Survey	• T-Test • ANOVA Test	• T-test was applied to find out difference between perception of male and female gender for Loan Value of f is Total 294 are male and 296 females. • Group statistics

		two sexes on the employee side. • There is no significant and positive relationship between married and single people in bank loan schemes from a customer and employee perspe			table explore the mean value of Gender is 1.7703, for std deviation is 0.42137 and for std error mean is 0. 02449. For gender. • Gender T value 72.280, Mean Difference 1.77027 • From research variation between sample means / variation within the

		ctive. • Overall Satisfaction for SBI & HDFC			samples value for HDFC is 31.676 and F value for SBI 12.508. • T-test was applied to find out difference between Process to obtain personal loans through banks as we can see from table variation between sample means / variation within the samples

					value for HDFC is 31.676 and F value for SBI 12.508.
Vanitha Malarvizhi P.	2011	• To study the lending practices of gold loan followed by Public sector Banks and NBFs. • To analyses the preference of the borrowers towar	Questionnaire Survey	• Percentage analysis • Likert scaling • Garret Ranking • Chi-square test • ANOVA	• The primary factor which influenced to avail gold loan from Public sector Banks were high security for the jewels pledged, and the main factor which influenced the respondents to

		ds Public sector Banks and NBFCs in availing the Gold Loan. • To identify the factors influencing the borrowers to avail gold loan from Public sector Banks and NBFCs. • To analys			prefer Non-Banking Financing Companies was the adequacy of the amount provided for treasures pledged. • The borrowers of Public sector Banks were highly satisfied with the safety for the security pledged, and they are dissatisfied with

		es the problems faced by the borrowers while availing gold loan from Public sector Banks and NBFCs. • To measure the level of satisfaction of the borrowers in availing gold loan provid			the quality of services provided. • The borrowers of Non-Banking Financing companies were highly satisfied with the adequacy of the amount provided for jewels provided, and they are dissatisfied with the higher rate of interest charged,

		ed by Public sector Bank and NBFC			
Sangwan P., Bhan K.	2012	• Evaluated the House Loan Schemes Of PNB, UBI, HDFC And ICICI And Studied the Customer's Response Regarding Housing Loans and Their	Questionnaire Survey	• Laveen's Test • T-Test	• It Was Seen That People Get Attracted to Lower Interest Rate and Low Processing Cost of Private Sector Banks and Moreover the behaviour of Public Sector Bank Employees Is Not

		Level of Satisfaction and Problems Faced by Them While Dealing with The Bank.			Cooperative. • Most of The People Have Lack of Money, Professionals Prefer Home Loans From 1 To 5 Lakhs, Majority Prefer Loan for Construction of New House and Give Land Papers as Security for Loan. • It Was Concluded That Private Sector

					Banks Are Better Than Public Sector Banks.
Merry Elizabeth John and Joby Joseph Thoomkuzhy	2018	• the satisfaction level of the customers who are availing services from the bank and analysing the services quality dimensions	Questionnaire Survey	---	• The study concludes that the people under the low-income category are the leading service takers of the co-operative banks. Even though they are happy with the service rates, they are dissatisfi

		of the Pathanamthitta District Co-operative banks			ed with the bank in updating them with the information on new services. • From the suggestion of one of the staffs, it is clear that the legal limitations put forward by the Government have restricted the growth of the co-operative banks
Anis Ali	2018	• To	Questionn	---	• There is

and L.S. Bisht		know customers' satisfaction in public and private sector banks in India	aire Survey		not much of a difference in the satisfaction level among the customers of the two banks with regard to the services rendered expect for the tangibles and the behavioral considerations of the employees of the public sector banks. • The researche

					r from the findings suggested that proper training should be provided to the employees in public sector banks, and also that they should be equipped with latest technologies to avoid inconvenience and delay.
Chithra and	2015	• This investi	Questionnaire	---	• The examinat

Muthurani		gation directed on client discernment towards home advance in H.D.F.C are done Chennai with the 85-test size and basic arbitrary inspecting.	Survey		ion demonstrates that H.D.F.C. bank home credits has item portfolio for fulfilling diverse customer needs. • The bank has got generosity and this can be utilized for advancing its administrations. In the event that new special movement and administrations

					presented, it will push particularly to association to expand the business.
Mittal	2014	• The author has focused on research by taking into account the customers of SBI and ICICI bank. • The paper discussed about	Questionnaire Survey	---	• The author concluded by stating that age, occupation and education significantly influence the customer's choice for a particular type of bank. • There was a

		the customer needs, preferences and usage rate, understand the service quality perception of customers towards retail banking services.			significant difference between the age-wise, education-wise and occupation-wise distribution of the two types of banks. • The income of the customers and their choice of a particular type of bank were independent of each other

Shrikant R. Porje	2011	• This research based on customer's perception towards the loan product of state bank of India	Questionnaire Survey	---	• The Author discussed about customers wants, reason of using loans, understand trends, awareness of customers about loan services. • The author concluded by stating that occupation.
Sheela	2014	• To know the satisfaction level	Questionnaire Survey	---	• The study revealed that most of the responde

		and problems faced by customers while availing loans			nts preferred Canara bank for availing home loans for its prompt services of the bank, low interest rates, convenient location, good reputation, less paper work, simple and fast processing procedure, and longer repayment period.

					Hence it is inferred that most of the respondents preferred Canara bank because of its prompt services.
Doddaraju	2013	• A study on customer satisfaction towards public and private sector banking services	Questionnaire Survey	---	• Researcher concluded that satisfaction level with regard to public sector unit's courtesy shown by bank staff at the counter is very

		with special reference to the Anantapur District of Andhra Pradesh			low. Therefore, the banks should pay special attention to Human Resource Development (HRD) by giving timely training to the employees to conduct themselves better
Debashis and Mishra	2014	• The study analysed and measured customer	Questionnaire Survey	---	• Researcher found out that computerization, accuracy in transacti

		satisfaction in branch services provided by nationalized banks in northern India 1200 customers were given questionnaires			ons, attitude of staff and availability of staff influenced customer satisfaction. Least important factor was promotion of the products and various schemes.
Nikunj Mataliya	2017-18	• To get practical knowledge about loan and advan	Questionnaire Survey	• chi-square test	• The bank knows that customer as well as employees are satisfyin

		ces • To know requirement of loan in different age group • Too aware about different types of loan. • Too aware about customer satisfaction toward loan services			g with the service which provided by bank. • Due to these researches, the customer as well as employee needs are knowing and then implement that so that the more customer are join and firm are grow up easily. • To know current position of the bank and

					how to implement the various service who aspect by the customer as well as employees.
Nirmaljeet Virk and Prabhjot Kaur Mahal	2012	• This study attempts to make a comparative analysis of level of customer pride in the direction of servic	Questionnaire Survey	---	• The statistical test is carried out at 5% and 1% degree of large the main statistical equipment is used. • This study shows that the manager

		es offered by private and public region banks. The study has been carried out in Chandigarh city			of public bank maintaining a relationship for winning their client's satisfaction.
Pooja Kayasth	2021	• To know the people perception towards gold loan. • To find out custo	Questionnaire Survey	• The frequency test (Mean, S.D., Deviation) • T-test	• Major finding of this research is People is known about gold loan and their perception is about gold loan is that it

		mer attitude towards choosing gold loan.			is better than personal loan. • Majority are borrowing gold from the bank rather than NBFCs. And Peoples choose modes of payment for gold loan is easy Instalment. People's perception is that while taking gold loan procedure is so easy and time

					taken less. And many factors affecting of taking gold loan but majority of respondent is now a days take a gold loan for some purposes.
Aayasha Nawaz	2017	• To analysed about the customer satisfaction towards services offerin	Interview method	---	• The conclusion shows that customers have satisfied with services of SBI Bank.

		g by SBI bank. • The study is focused on which factors affecting the client's satisfaction like employee's behaviour, Infrastructure facility, quality of services offering by bank			

		etc.			
N. Chithra, Mrs. M. Selina Muthurani.	2015	• this study attempts to find out the customer perception towards home loans of HDFC bank in Chennai and the problem faced by the customers while availing home	Questionnaire Survey	---	The finding of the study is customer perception towards home loan of HDFC is positive.

		loans in HDFC Bank. And customers satisfaction level of about home loans HDFC bank			
Utkarsh Gupta, Dr. Richa Sinha.	2015	Study for factors Affecting Consumer's Buying Behaviour towards Home Loans (with Special Reference to State Bank of India And Life Insurance Corporation, Allahabad)	Questionnaire Survey	---	• Maximum percentage of the respondents had opted for Home Purchase category of Home loan, both in LIC (42%) and SBI

					(48%) • Fixed rate of interest is the most preferred option by the respondents regarding the purchase of Home Loan, Low Rate of Interest, Easy Accessibility, Status/Reputation of the institution • Longer repayment period, Easy documen

					tation formaliti es, Cooperat ive staff and Easy instalme nts are the major factors that had influence d the responde nts to opt for Home Loan from SBI, whereas the factors namely Fast processin g of Loan, Good communi cation Suggesti

					on by friends/relatives and Trust on institution acted as the major influencing factors that influenced the respondents to opt for Home loan from LIC
Chaubey M.	2009	Purpose of study is to know problem and prospectus for housing loan in India	Questionnaire Survey	---	• It was exposed that the customers of home loans selected to take loan due

					to low-interest-rate firstly, easy installment schemes secondly, simple procedure thirdly and so on. • About 92% of the Home Loan customers selected for a floating rate of interest whereas about 60% of the total home loan customer

					s opted for more than 15 years and about 70% accepted that the approval and distribution of loan are generally behind as per its time schedule. • It was also suggested that the details of the loan accounts of the customers must be available online for more transpare

					ncy in dealing and EMIs should be available not only monthly but also quarterly and half-yearly.

RESEARCH METHODOLOGY

Problem Statement:

The Varachha Co-Operative Bank of Affil tower branch, eliciting information from the banker's borrowers and the general public serves the purpose of the topic. Therefore, the presence study was taken up. Hence this present research topic is more relevant in the changing environment.

Also, this study is mainly confined to the banking services in The Varachha Co-Operative Bank, Affil Tower. This study covers loans and advances, especially industrial loans as a major part of the study, Perception and satisfaction of consumer.

The question may arise in mind that:

- From the credit schemes offered by the bank, which is the scheme that is most preferred by the customers?
- Is customer really satisfied after borrowing the credit offered by the bank from different dimension?

Need for The Study

- The study is mainly concentrated to know that how many percent consumer preferred which scheme offered by The Varachha Co-operative Bank.
- The Bank management can know, in which schemes and services they have to made changes and improvement.
- By studying the research, the bank management can take necessary action towards the dissatisfactory factors

Objectives of The Study:

- To assess the borrower agreement towards loan and advances provide by The Varachha co-operative bank(VCB).
- To know the borrower satisfaction level towards loan and advances provide by The Varachha co-operative Bank.
- To know the expectations from the consumers to develop VCB services

- To give constructive suggestions on findings towards the loans and advances at the bank.

Research Question

In this study, Researcher has asked multiple choice question, Likert scale questions, some
personal information like Name, Gender, Age, Income Qualification.

Research Design:

Type of Research

In this study, Researcher has used descriptive research design because it helps to determine various factors that helped researcher to know consumer satisfaction towards loan and advances and services of Varachha co-operative bank.

Sample design:

I. **Sampling Unit :**

Researcher has taken sample unit those who have taken Loan and advances.

II. **Sampling Period :**

Researcher has taken 1 month to complete the project report.

III. **Sample Size :**

Researcher has taken sample size of 250

IV. **Sampling Technique:**

Researcher has used non probability convenience sampling method.

Researcher used various test

V. **Data collection tool :**

Researcher has collected data through questionnaire.

VI. **Tools used for data analysis:**

The following tools will be used in research

- Charts
- Graphs
- Tables
- Friedman Test

- Mann-Whitney U-test
- Kruskal Wallis H-test
- Spearman's Rank Correlation.

Limitations of the study

- As in current situation we have to survey through google form questionnaire which is biggest limitation.
- Respondents tried to escape some statements by simply answering "neither agree nor disagree" to most of the statements. This was one of the most important limitation faced, as it was difficult to analyze and come at a right conclusion
- The time for the study was limited.
- While analysis the primary data human error may occurred.

DATA ANALYSIS

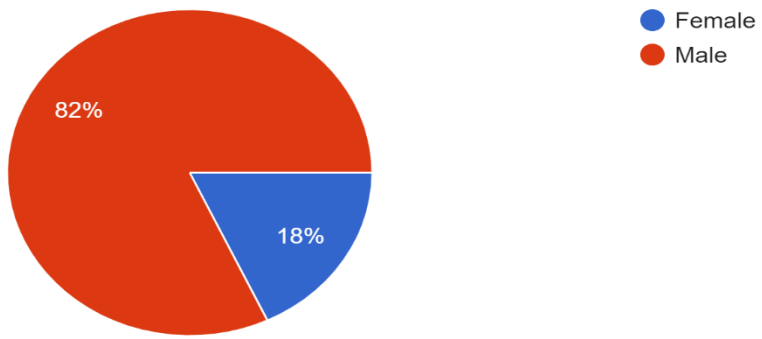
6.1Demographic Profile:

GENDER:

Table no.1`for no. of respondents according to their gender group:

Gender	Respondents	Percentage
Female	45	18%
Male	205	82%
Total	250	100%

Chart no.1 for no. of respondents according to their gender group:



Interpretation:

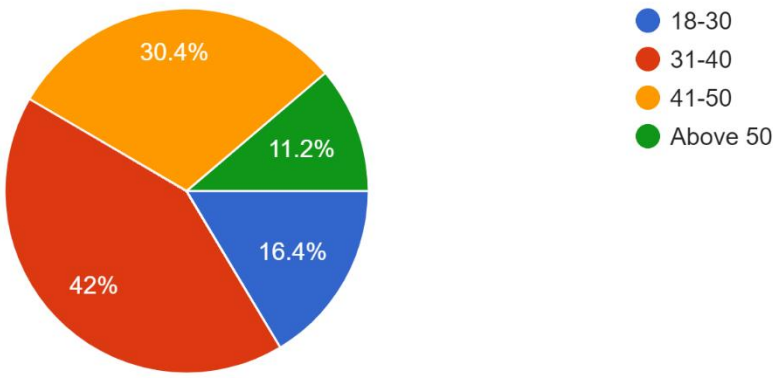
Out of Total respondents we collect, 18% are male and 82% are female. So, 45 respondents are male and 205 are female. So, we can say that there is no huge difference of gender in respondents.

AGE:

Table no. 2 for no. of respondents according to Their age group:

Age Group	Respondents	Percentage
18-30	41	16.4%
31-40	105	42%
41-50	76	30.4%
Above 50	28	11.2%
Total	250	100%

Chart no. 2 for no. of respondents according to Their age group:



Interpretation:

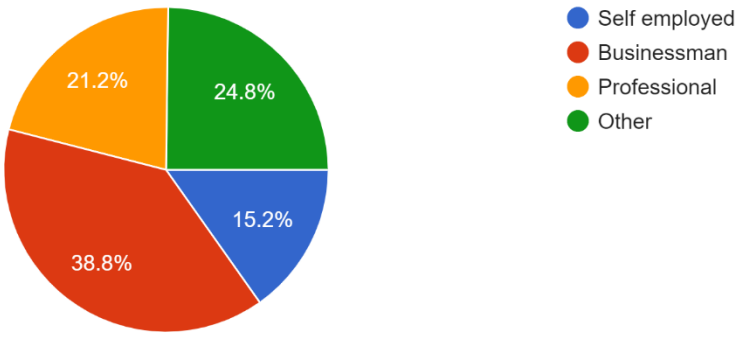
The above chart shows most of the respondents are under 31-40-year-old and after that respondents are 41-50-year-old. So out of 250 respondents 105 are under age of 31 to 40, 76 respondents are under age of 41 to 50, 41 respondents are under age of 18-30 and 28 respondents are above age of 50.

OCCUPATION:

Table no. 3 for no. of respondents according to their occupation:

Occupation	Respondents	Percentage
Self employed	38	15.2%
Businessman	97	38.8%
Professional	53	21.2%
Other	62	24.8%
Total	250	100%

Chart no. 3 for no. of respondents according to their occupation:



Interpretation:

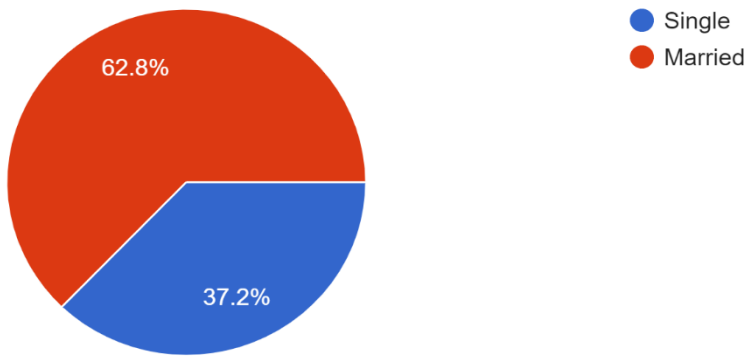
The above chart shows most of the respondents are Businessman who takes loans out of 250 respondents. Out of total respondents 24.8% are have different occupation, 21.2% works as Professional and 15.2% works as Self-employed.

MARITAL STATUS:

Table no. 4 for no. of respondents according to their marital status:

Marital Status	Respondents	Percentage
Single	93	37.2%
Married	157	62.8%
Total	250	100%

Chart no. 4 for no. of respondents according to their marital status:



Interpretation:

The above charts show Marital Status of respondents.

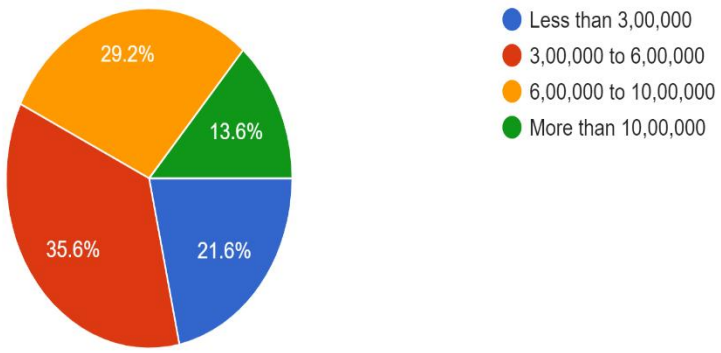
Out of total respondents 37.2% respondents are single who takes loans and 62.8% respondents are married.

ANNUAL INCOME:

Table no. 5 for no. of respondents according to their annual income:

Annual Income	Respondents	Percentage
Less than 3,00,000	54	21.6%
3,00,000 to 6,00,000	89	35.6%
6,00,000 to 10,00,000	73	29.2%
More than 10,00,000	34	13.6%
Total	250	100%

Chart no. 5 for no. of respondents according to their annual income:



Interpretation:

The above chart shows most of the respondents' income are between Rs. 300000 to 600000.

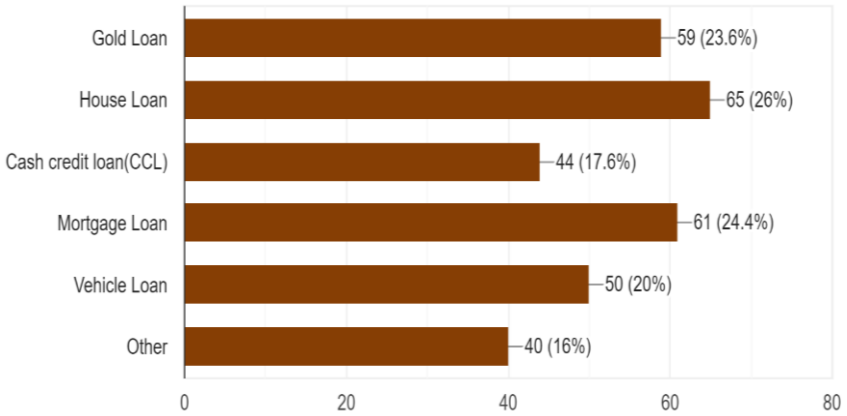
Out of total respondents 29.2% respondents' income are between 600000 to 1000000, 21.6% respondents' income are less than Rs. 300000 and 13.6% respondents' income are more than Rs. 1000000.

Which Loan Product of The Varachha Co-operative Bank (VCB) you used?

Table no. 6 for no. of respondents according to loan product used by respondent:

Loans	Respondents	Percentage
Gold Loan	59	59%
House Loan	65	65%
Cash credit loan (CCL)	44	44%
Mortgage Loan	61	61%
Vehicle Loan	50	20%
Other	40	16%

Chart no. 6 for no. of respondents according to their loan product used by respondent:



Interpretation:

From the survey done by researcher it is interpreted that the respondents mostly used House loan provide by VCB. 26% respondents used House loan, 23.6% respondents used gold loan, 17.6% respondents used Cash credit loan, 24.4% respondents used Mortgage loan, 20% respondents used Vehicle loan and 16% respondents used Other loan. So according to data customer looks more attracted towards house loan and Mortgage loan.

Please rate the following factors in term of your concern before taking Loans and Advances:

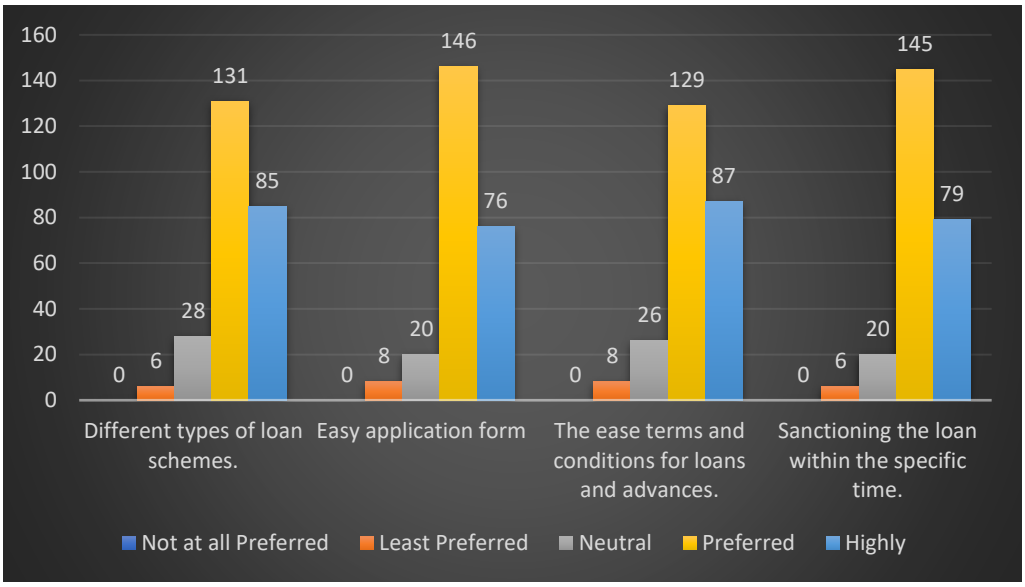
Factors:

1. Different types of loans schemes.
2. Easy application form
3. The ease terms and conditions for loans and advances.
4. Sanctioning the loan within the specific time.

Table no. 7 for no. respondent according to their concern before taking Loans and Advances:

	Factor 1	Percentage (%)	Factor 2	Percentage (%)	Factor 3	Percentage (%)	Factor 4	Percentage (%)
Not at all Preferred	0	0	0	0	0	0	0	0
Least Preferred	6	2	8	3	8	3	6	2
Neutral	28	11	20	8	26	10	20	8
Preferred	131	53	146	59	129	52	145	58
Highly Preferred	85	34	76	30	87	35	79	32
Total	250	100	250	100	250	100	250	100

Chart no. 7 for no. of respondents according to their concern before taking Loans and Advances:



Interpretation:

From the responses collected by researcher, out of 250 respondents, 53% of respondents are preferred, 34% of respondents are highly preferred and 2% of respondents are least preferred that different types of loans schemes factor. While as per the data state, 11% of respondents remains neutral for this factor.

From the responses collected by researcher, out of 250 respondents, 59% of respondents are preferred, 30% of respondents are highly preferred and 3% of respondents are least preferred that easy application form factor. While as per the data state, 8% of respondents remains neutral for this factor.

From the responses collected by researcher, out of 250 respondents, 52% of respondents are preferred, 35% of respondents are highly preferred and 3% of respondents are least preferred that the ease terms and conditions for loans and advances factor. While as per the data state, 10% of respondents remains neutral for this factor.

From the responses collected by researcher, out of 250 respondents, 58% of respondents are preferred, 32% of respondents are highly preferred and 2% of

respondents are least preferred that sanctioning the loan within the specific time factor. While as per the data state, 8% of respondents remains neutral for this factor.

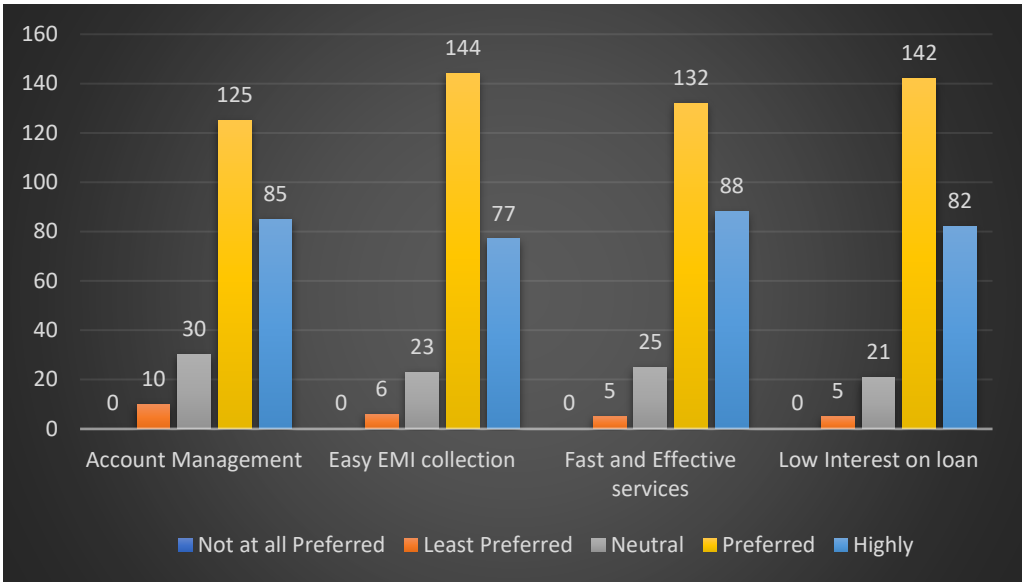
Factors:

5. Account Management
6. Easy EMI collection
7. Fast and Effective services
8. Low Interest on loans

Table no. 8 for no. of respondents according to their concern before taking Loans and Advances:

	Factor 5	Percentage (%)	Factor 6	Percentage (%)	Factor 7	Percentage (%)	Factor 8	Percentage (%)
Not at all Preferred	0	0	0	0	0	0	0	0
Least Preferred	10	4	6	2	5	2	5	2
Neutral	30	12	23	9	25	10	21	8
Preferred	125	50	144	58	132	53	142	57
Highly Preferred	85	34	77	31	88	35	82	33
Total	250	100	250	100	250	100	250	100

Chart no. 8 for no. of respondents according to their concern before taking Loans and Advances:



Interpretation:

From the responses collected by researcher, out of 250 respondents, 50% of respondents are preferred, 34% of respondents are highly preferred and 4% of respondents are least preferred that account management. While as per the data state, 12% of respondents remains neutral for this factor.

From the responses collected by researcher, out of 250 respondents, 58% of respondents are preferred, 31% of respondents are highly preferred and 2% of respondents are least preferred that easy EMI collection factor. While as per the data state, 9% of respondents remains neutral for this factor.

From the responses collected by researcher, out of 250 respondents, 53% of respondents are preferred, 35% of respondents are highly preferred and 2% of respondents are least preferred that fast and effective services factor. While as per the data state, 10% of respondents remains neutral for this factor.

From the responses collected by researcher, out of 250 respondents, 57% of respondents are preferred, 33% of respondents are highly preferred and 2% of

respondents are least preferred that low interest on loan factor. While as per the data state, 8% of respondents remains neutral for this factor.

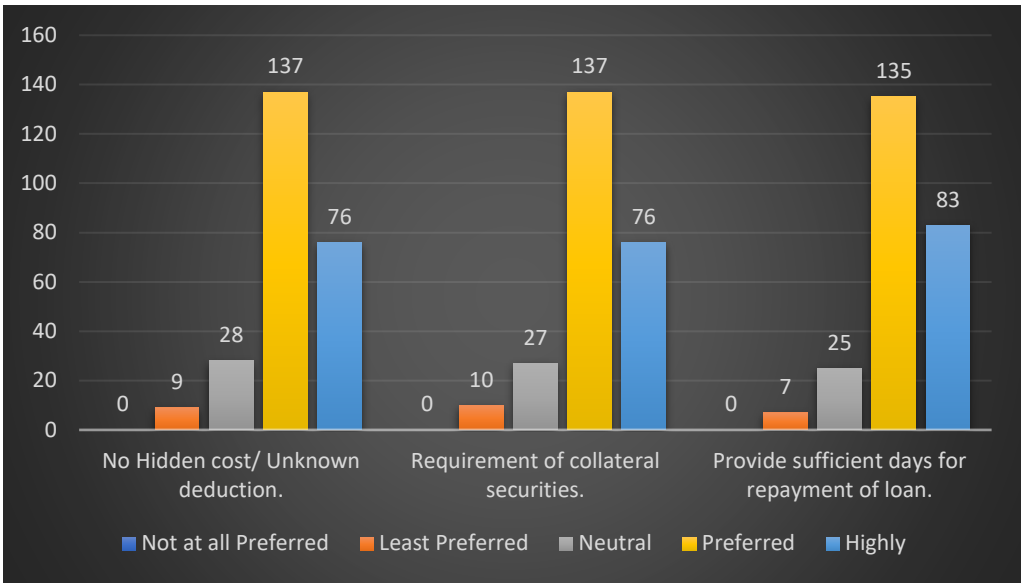
Factors:

9. No Hidden cost/ Unknown deduction.
10. Requirement of collateral securities.
11. Provide sufficient days for repayment of loan.

Table no. 9 for no. of respondents according to their concern before taking Loans and Advances:

	Factor 9	Percentage (%)	Factor 10	Percentage (%)	Factor 11	Percentage (%)
Not at all Preferred	0	0	0	0	0	0
Least Preferred	9	4	10	4	7	3
Neutral	28	11	27	11	25	10
Preferred	137	55	137	55	135	54
Highly Preferred	76	30	76	30	83	33
Total	250	100	250	100	250	100

Chart no. 9 for no. of respondents according to their concern before taking Loans and Advances:



Interpretation:

From the responses collected by researcher, out of 250 respondents, 55% of respondents are preferred, 30% of respondents are highly preferred and 4% of respondents are least preferred that no hidden cost/ unknown deduction factor. While as per the data state, 11% of respondents remains neutral for this factor.

From the responses collected by researcher, out of 250 respondents, 55% of respondents are preferred, 30% of respondents are highly preferred and 4% of respondents are least preferred that requirement of collateral securities factor. While as per the data state, 11% of respondents remains neutral for this factor.

From the responses collected by researcher, out of 250 respondents, 54% of respondents are preferred, 33% of respondents are highly preferred and 3% of respondents are least preferred that provide sufficient days for repayment of loan factor. While as per the data state, 10% of respondents remains neutral for this factor.

Factors:

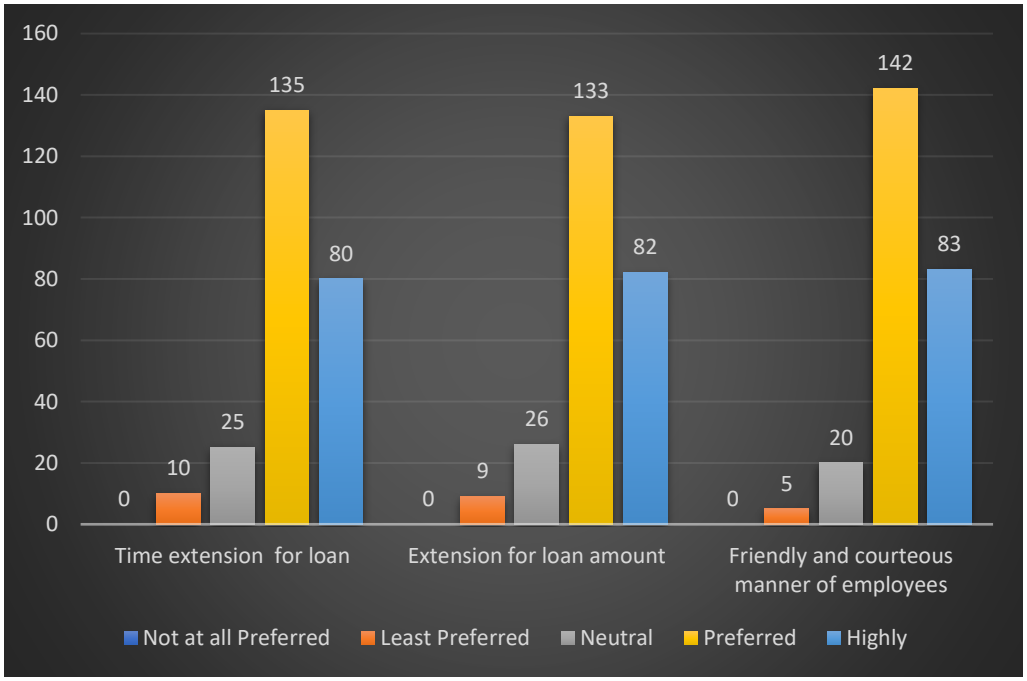
12. Time extension for loan
13. Extension for loan amount

14. Friendly and courteous manner of employees

Table no. 10 for no. of respondents according to their concern before taking Loans and Advances:

	Factor 12	Percentage (%)	Factor 13	Percentage (%)	Factor 14	Percentage (%)
Not at all Preferred	0	0	0	0	0	0
Least Preferred	10	4	9	4	5	2
Neutral	25	10	26	10	20	8
Preferred	135	54	133	53	142	57
Highly Preferred	80	32	82	33	83	33
Total	250	100	250	100	250	100

Chart no. 10 for no. of respondents according to their concern before taking Loans and Advances:



Interpretation:

From the responses collected by researcher, out of 250 respondents, 54% of respondents are preferred, 32% of respondents are highly preferred and 4% of respondents are least preferred that time extension for loan. While as per the data state, 10% of respondents remains neutral for this factor.

From the responses collected by researcher, out of 250 respondents, 53% of respondents are preferred, 33% of respondents are highly preferred and 4% of respondents are least preferred that easy extension for loan amount factor. While as per the data state, 10% of respondents remains neutral for this factor.

From the responses collected by researcher, out of 250 respondents, 57% of respondents are preferred, 33% of respondents are highly preferred and 2% of respondents are least preferred that friendly and courteous manner of employees . While as per the data state, 8% of respondents remains neutral for this factor.

Please rate the following statement with respect to Performance Expectancy of loans and advances provide by VCB based on your opinion.

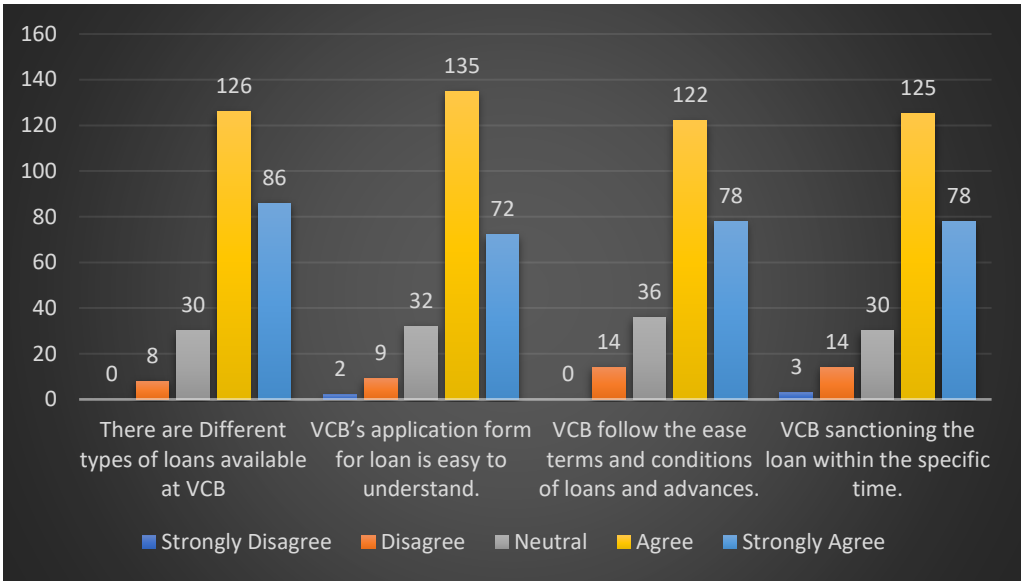
Statements:

1. There are Different types of loans available at VCB
2. VCB's application form for loan is easy to understand.
3. VCB follow the ease terms and conditions of loans and advances.
4. VCB sanctioning the loan within the specific time.

Table no. 11 for no. of respondents according to statement with respect to Performance Expectancy of loans and advances provide by VCB based on respondent opinion.

	Statement 1	Percentage (%)	Statement 2	Percentage (%)	Statement 3	Percentage (%)	Statement 4	Percentage (%)
Strongly Disagree	0	0	2	1	0	0	3	1
Disagree	8	3	9	4	14	6	14	6
Neutral	30	12	32	13	36	14	30	12
Agree	126	50	135	54	122	49	125	50
Strongly Agree	86	34	72	29	78	31	78	31
Total	250	100	250	100	250	100	250	100

Chart no. 11 for no. of respondents according to statement with respect to Performance Expectancy of loans and advances provide by VCB based on respondent opinion.



Interpretation:

From the responses collected by researcher, out of 250 respondents, 50% of respondents are agree, 34% of respondents are strongly agree and 3% of respondents are disagree that different types of loans available at VCB. While as per the data state, 12% of respondents remains neutral for this statement.

From the responses collected by researcher, out of 250 respondents, 54% of respondents are agree, 29% of respondents are strongly agree, 4% of respondents are disagree and 1% of respondents are strongly disagree that VCB's application form for loan is easy to understand. While as per the data state, 13% of respondents remains neutral for this statement.

From the responses collected by researcher, out of 250 respondents, 49% of respondents are agree, 31% of respondents are strongly agree and 6% of respondents are disagree that VCB follow the ease terms and conditions of loans and advances. While as per the data state, 14% of respondents remains neutral for this statement.

From the responses collected by researcher, out of 250 respondents, 50% of respondents are agree, 31% of respondents are strongly agree, 6% of respondents are disagree and 1% of respondents are strongly disagree that VCB sanctioning the loan within the specific time. While as per the data state, 12% of respondents remains neutral for this statement.

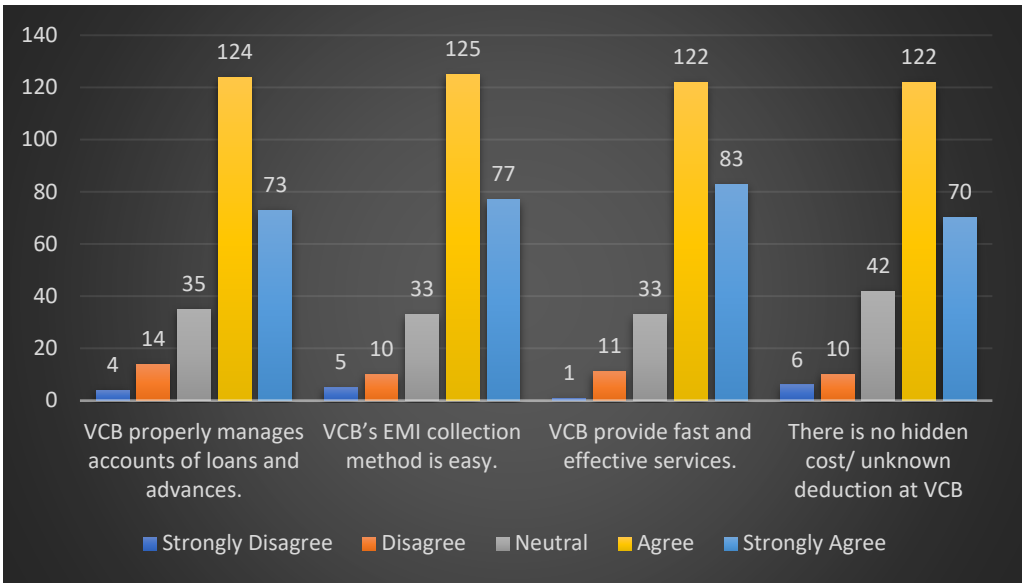
Statements:

5. VCB properly manages accounts of loans and advances.
6. VCB's EMI collection method is easy.
7. VCB provide fast and effective services.
8. There is no hidden cost/ unknown deduction at VCB

Table no. 12 for no. of respondents according to statement with respect to Performance Expectancy of loans and advances provide by VCB based on respondent opinion.

	Statement 5	Percentage (%)	Statement 6	Percentage (%)	Statement 7	Percentage (%)	Statement 8	Percentage (%)
Strongly Disagree	4	2	5	2	1	0	6	2
Disagree	14	6	10	4	11	4	10	4
Neutral	35	14	33	13	33	13	42	17
Agree	124	50	125	50	122	49	122	49
Strongly Agree	73	29	77	31	83	33	70	28
Total	250	100	250	100	250	100	250	100

Chart no. 12 for no. of respondents according to statement with respect to Performance Expectancy of loan and advances provide by VCB based on respondent opinion.



Interpretation:

From the responses collected by researcher, out of 250 respondents, 50% of respondents are agree, 29% of respondents are strongly agree, 6% of respondents are disagree and 2% of respondents are strongly disagree that VCB properly manages accounts of loans and advances. While as per the data state, 14% of respondents remains neutral for this statement.

From the responses collected by researcher, out of 250 respondents, 50% of respondents are agree, 31% of respondents are strongly agree, 4% of respondents are disagree and 2% of respondents are strongly disagree that VCB's EMI collection method is easy. While as per the data state, 13% of respondents remains neutral for this statement.

From the responses collected by researcher, out of 250 respondents, 49% of respondents are agree, 33% of respondents are strongly agree and 4% of respondents are disagree that VCB provide fast and effective services. While as per the data state, 13% of respondents remains neutral for this statement.

From the responses collected by researcher, out of 250 respondents, 49% of respondents are agree, 28% of respondents are strongly agree, 4% of respondents are disagree and 2% of respondents are strongly disagree that no hidden cost/ unknown deduction at VCB. While as per the data state, 17% of respondents remains neutral for this statement.

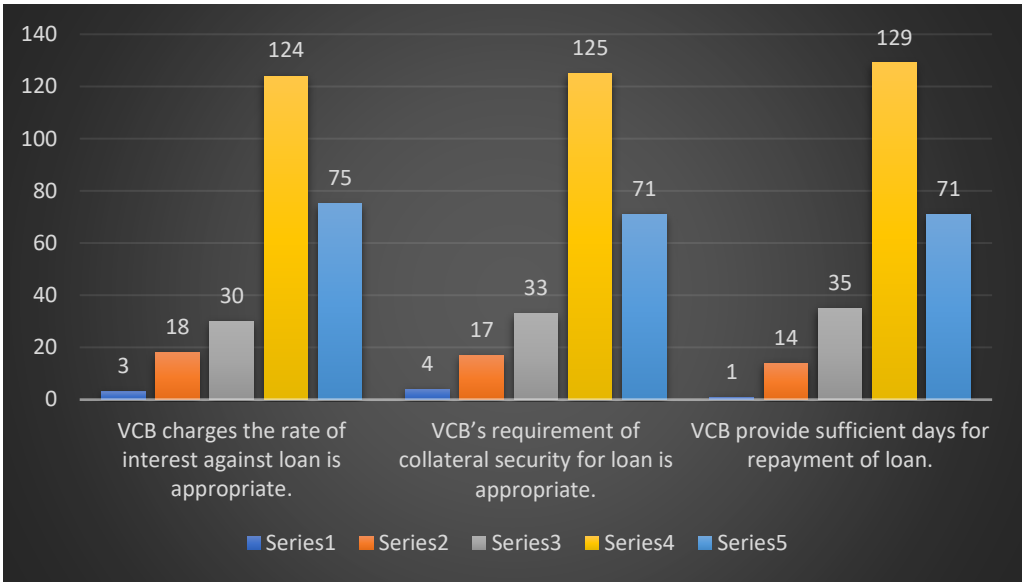
Statements:

9. VCB charges the rate of interest against loan is appropriate.
10. VCB's requirement of collateral security for loan is appropriate.
11. VCB provide sufficient days for repayment of loan.

Table no. 13 for no. of respondents according to statement with respect to Performance Expectancy of loans and advances provide by VCB based on respondent opinion.

	Statement 9	Percentage (%)	Statement 10	Percentage (%)	Statement 11	Percentage (%)
Strongly Disagree	3	1	4	2	1	0
Disagree	18	7	17	7	14	6
Neutral	30	12	33	13	35	14
Agree	124	50	125	50	129	52
Strongly Agree	75	30	71	28	71	28
Total	250	100	250	100	250	100

Chart no. 13 for no. of respondents according to statement with respect to Performance Expectancy of loan and advances provide by VCB based on respondent opinion.



Interpretation:

From the responses collected by researcher, out of 250 respondents, 50% of respondents are agree, 30% of respondents are strongly agree, 7% of respondents are disagree and 1% of respondents are strongly disagree that VCB charges the rate of interest against loan is appropriate. While as per the data state, 12% of respondents remains neutral for this statement.

From the responses collected by researcher, out of 250 respondents, 50% of respondents are agree, 28% of respondents are strongly agree, 7% of respondents are disagree and 2% of respondents are strongly disagree that VCB's requirement of collateral security for loan is appropriate. While as per the data state, 13% of respondents remains neutral for this statement.

From the responses collected by researcher, out of 250 respondents, 52% of respondents are agree, 28% of respondents are strongly agree and 6% of respondents are disagree that VCB provide sufficient days for repayment of loan. While as per the data state, 14% of respondents remains neutral for this statement.

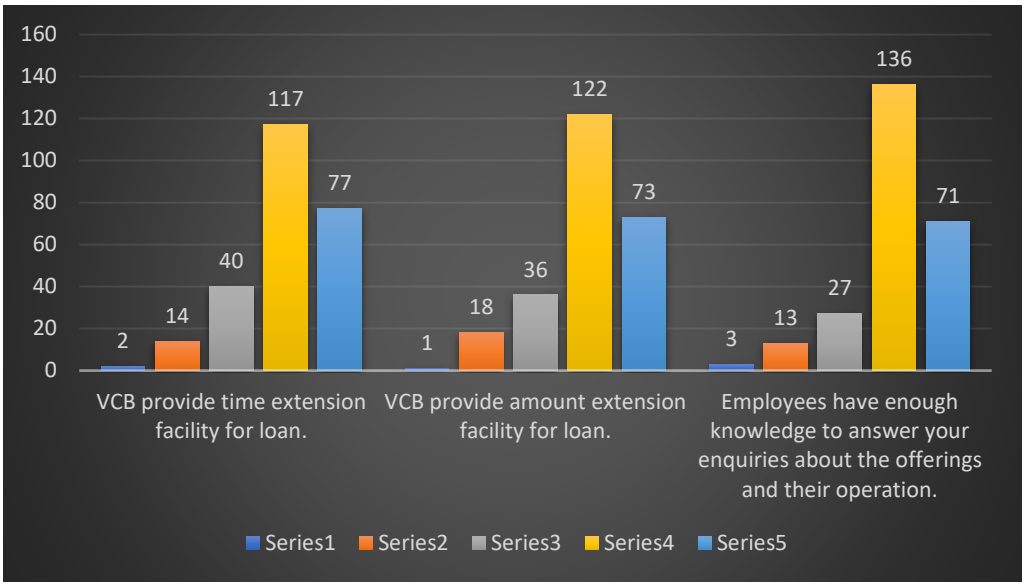
Statements:

12. VCB provide time extension facility for loan.
13. VCB provide amount extension facility for loan.
14. Employees have enough knowledge to answer your enquiries about the offerings and their operation.

Table no. 14 for no. of respondents according to statement with respect to Performance Expectancy of loans and advances provide by VCB based on respondent opinion.

	Statement 12	Percentage (%)	Statement 13	Percentage (%)	Statement 14	Percentage (%)
Strongly Disagree	2	1	1	0	3	1
Disagree	14	6	18	7	13	5
Neutral	40	16	36	14	27	11
Agree	117	47	122	49	136	54
Strongly Agree	77	31	73	29	71	28
Total	250	100	250	100	250	100

Chart no. 14 for no. of respondents according to statement with respect to Performance Expectancy of loans and advances provide by VCB based on respondent opinion.



Interpretation:

From the responses collected by researcher, out of 250 respondents, 47% of respondents are agree, 31% of respondents are strongly agree, 6% of respondents are disagree and 1% of respondents are strongly disagree that VCB provide time extension facility for loan. While as per the data state, 16% of respondents remains neutral for this statement.

From the responses collected by researcher, out of 250 respondents, 49% of respondents are agree, 29% of respondents are strongly agree and 7% of respondents are disagree that VCB provide amount extension facility for loan. While as per the data state, 14% of respondents remains neutral for this statement.

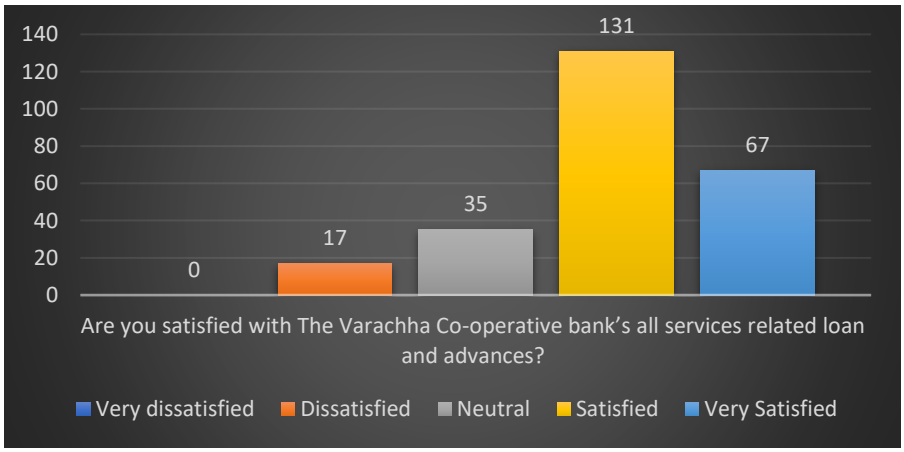
From the responses collected by researcher, out of 250 respondents, 54% of respondents are agree, 28% of respondents are strongly agree, 5% of respondents are disagree and 1% of respondents are strongly disagree employees have enough knowledge to answer your enquiries about the offerings and their operation. that While as per the data state, 11% of respondents remains neutral for this statement.

Customers who satisfied with The Varachha Co-operative bank's all services related loans and advances.

Table No.15 customer who satisfied with VCB's all service-related loans and advances.

	Responses	Percentage (%)
Very Dissatisfied	0	0
Dissatisfied	17	7
Neutral	35	14
Satisfied	131	52
Very Satisfied	67	27
Total	250	100

Chart No.15 customer who satisfied with VCB's all service-related loans and advances.



Interpretation:

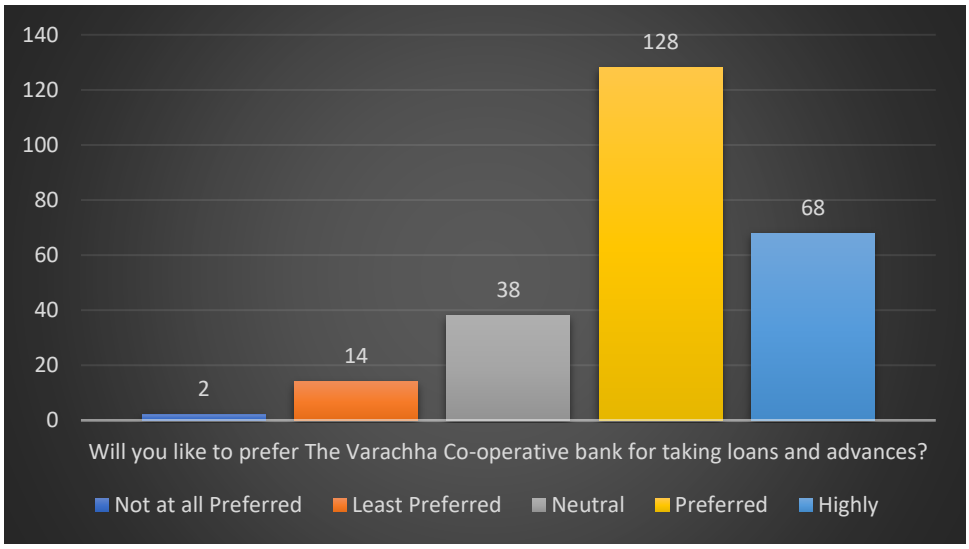
From the responses collected by researcher, out of 250 respondents, 52% of respondents are agree, 27% of respondents are strongly agree and 7% of respondents are disagree that customer who satisfied with services provide by VCB. While as per the data state, 14% of respondents remains neutral for this statement.

Customers who like to prefer The Varachha Co-operative bank for taking loans and advances.

Table No.16 Customers who like to prefer VCB for taking loans and advances.

	Responses	Percentage (%)
Not at all Preferred	2	1
Least Preferred	14	6
Neutral	38	15
Preferred	128	51
Total	250	100

Chart No.16 Customers who like to prefer VCB for taking loans and advances.



Interpretation:

From the responses collected by researcher, out of 250 respondents, 51% of respondents are agree, 27% of respondents are strongly agree, 6% of respondents are disagree and 1% of respondents are strongly disagree that respondent who like to prefer VCB for taking loans and advances. While as per the data state, 15% of respondents remains neutral for this statement.

NORMALITY TEST:

Normality test was performed using Shapiro-Wilk test. The data was tested for normality because one of assumption for parametric test is that data should be normality distributed. But if data is not normality distributed, then non-parametric test need to be applied. Normality was tested and result of all the Likert-scales is as under:

6.2Normality test of factors which affect customers perception before taking loans and advances:

Hypothesis:

H0: The distribution is normal/ data follow a normal distribution

H1: The distribution is not normal/ data follow a normal distribution

(Table No. 6.2.1 Normality test of factors which affect customers perception before taking loan and advances)

Normality test of factors	
	Shapiro-Wilk
Particular	**Sig.**
Different types of loan schemes.	.000
Easy application form	.000
The ease terms and conditions for loans and advances.	.000
Sanctioning the loan within the specific time.	.000
Account Management	.000
Easy EMI collection	.000
Fast and Effective services	.000
Low Interest on loan	.000
No Hidden cost/ Unknown deduction.	.000
Requirement of collateral securities.	.000
Provide sufficient days for repayment of loan.	.000
Time extension for loan	.000
Extension for loan amount	.000

Friendly and courteous manner of employees	.000

Interpretation:

All the 14 factors' Shapiro-Wilk significant value came as 0.000 which is less than 0.05 so it shows that researcher fail to reject H1. According to test researcher conclude that data is not normally distributed.

6.3Normality test of Statements which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB.:

Hypothesis:

H0: The distribution is normal/ data follow a normal distribution

H1: The distribution is not normal/ data follow a normal distribution.

(Table No 6.3.1 Normality test of Statements which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB.)

Normality test of statements	
	Shapiro-Wilk
Particular	**Sig.**
There are Different types of loans available at VCB	.000
VCB's application form for loan is easy to understand.	.000
VCB follow the ease terms and conditions of loans and advances.	.000
VCB sanctioning the loan within the specific time.	.000
VCB properly manages accounts of loans and advances.	.000
VCB's EMI collection method is easy.	.000
VCB provide fast and effective services.	.000
There is no hidden cost/ unknown deduction at VCB	.000
VCB charges the rate of interest against loan is appropriate.	.000
VCB's requirement of collateral security for loan is	.000

appropriate.	
VCB provide sufficient days for repayment of loan.	.000
VCB provide time extension facility for loan.	.000
VCB provide amount extension facility for loan.	.000
Employees have enough knowledge to answer your enquiries about the offerings and their operation.	.000

Interpretation:

All the 14 statements' Shapiro-Wilk significant value came as 0.000 which is less than 0.05 so it shows that researcher fail to reject H1. According to test researcher conclude that data is not normally distributed.

RELIABILITY TEST:

6.4Reliability test for factors which affect customers perception before taking loans and advances:

>0.90 = Excellent

< 0.90 and ≥ 0.80 = Very good

< 0.80 and ≥ 0.70 = Good

< 0.70 and ≥ 0.60 = Acceptable

< 0.60 and ≥ 0.50 = Poor

< 0.50 = Not acceptable

(Table No. 6.4.1 Reliability test for factors which affect customers perception before taking loan and advances)

Reliability Statistics	
Cronbach's Alpha	N of Items
.972	14

(Table No. 6.4.2 Reliability test of item-total statistics for factors which affect customers perception before taking loan and advance)

Item-Total Statistics				
	Scale Mean if Item Deleted	**Scale Variance if Item Deleted**	**Corrected Item-Total Correlation**	**Cronbach's Alpha if Item Deleted**
Different types of loan schemes.	54.17	64.269	.821	.970
Easy application form	54.19	64.073	.867	.970

The ease terms and conditions for loans and advances.	54.17	63.835	.833	.970
Sanctioning the loan within the specific time.	54.16	64.633	.842	.970
Account Management	54.21	63.282	.840	.970
Easy EMI collection	54.18	64.590	.835	.970
Fast and Effective services	54.14	64.985	.779	.971
Low Interest on loan	54.14	64.823	.830	.970
Provide sufficient days for repayment of loan.	54.17	64.199	.830	.970
Requirement of collateral securities.	54.23	63.986	.811	.971
No Hidden cost/ Unknown deduction.	54.23	63.735	.844	.970
Time extension for loan	54.21	63.378	.864	.970
Extension for loan amount	54.20	63.821	.830	.970
Friendly and courteous manner of employees	54.14	64.728	.843	.970

Interpretation:

Value of Cronbach's Alpha is 0.972 which is excellent and shows higher level of internal consistency

6.5Reliability test for statements which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB:

>0.90 = Excellent

< 0.90 and ≥ 0.80 = Very good

< 0.80 and ≥ 0.70 = Good

< 0.70 and ≥ 0.60 = Acceptable

< 0.60 and ≥ 0.50 = Poor

<0.50 = Not acceptable

(Table No. 6.5.1 Reliability test for statements which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB)

Reliability Statistics	
Cronbach's Alpha	N of Items
.976	14

(Table No. 6.5.2 Reliability test of item-total statistics for statements which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB)

Item-Total Statistics				
	Scale Mean if Item Deleted	Scale Variance if Item Deleted	Corrected Item-Total Correlation	Cronbach's Alpha if Item Deleted
There are Different types of loans available at VCB	52.28	97.994	.766	.976
VCB's application form for loan is easy to	52.38	95.810	.872	.974

understand.				
VCB follow the ease terms and conditions of loans and advances.	52.38	95.723	.843	.974
VCB sanctioning the loan within the specific time.	52.40	94.738	.851	.974
VCB properly manages accounts of loans and advances.	52.45	94.120	.867	.974
VCB's EMI collection method is easy.	52.40	94.298	.869	.974
VCB provide fast and effective services.	52.34	96.370	.807	.975
There is no hidden cost/ unknown deduction at VCB	52.48	93.769	.875	.974
VCB charges the rate of interest against loan is appropriate.	52.44	93.741	.881	.974
VCB's requirement of collateral security for loan is appropriate.	52.47	94.082	.851	.974
VCB provide sufficient days for repayment of loan.	52.42	95.313	.865	.974
VCB provide time extension facility for loan.	52.43	94.567	.861	.974
VCB provide amount extension facility for loan.	52.45	94.811	.848	.974

Employees have enough knowledge to answer your enquiries about the offerings and their operation.	52.40	94.949	.874	.974

Interpretation:

Value of Cronbach's Alpha is 0.976 which is excellent and shows higher level of internal consistency.

FRIEDMAN TEST:

6.6Friedman test for factors which affect customers perception before taking loans and advances:

Hypothesis:

H0: There is no significant difference in the influence created by various factor before taking loan and advances.

H1: There is significant difference in the influence created by various factor before taking loan and advances.

(Table No. 6.6.1 Friedman test for factors which affect customers perception before taking loans and advances)

Ranks	
	Median Rank
Different types of loan schemes.	7.54
Easy application form	7.45
The ease terms and conditions for loans and advances.	7.57
Sanctioning the loan within the specific time.	7.61
Account Management	7.38
Easy EMI collection	7.50
Fast and Effective services	7.67
Low Interest on loan	7.68
No Hidden cost/ Unknown deduction.	7.23
Requirement of collateral securities.	7.30
Provide sufficient days for repayment of loan.	7.53
Time extension for loan	7.40
Extension for loan amount	7.44
Friendly and courteous manner of employees	7.71

(Table No. 6.6.2 Friedman test statistics for factors which affect customers perception before taking loans and advances)

Test Statistics	
N	250
Chi-Square	13.285
df	13
Asymp. Sig.	.426

Interpretation:

The Friedman test result showed that there was no significant difference felt by customer for various types of factor which affect their perception before taking loan and advances from bank. The test result shows that value of p is 0.426 was greater than the level of significance, 0.05.

It was found out that above fourteen factors are important and affect customers' perception before taking loan and advances from bank.

6.7 Friedman test for statement which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB.

Hypothesis:

H0: There is no significant difference in customers' agreement or disagreement with respect to performance expectancy of loan and advances provide by VCB.

H1: There is significant difference in customers' agreement or disagreement with respect to performance expectancy of loan and advances provide by VCB.

(Table No. 6.7.1 Friedman test for statement which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB)

Ranks	
	Median Rank

There are Different types of loans available at VCB	8.12
VCB's application form for loan is easy to understand.	7.64
VCB follow the ease terms and conditions of loans and advances.	7.62
VCB sanctioning the loan within the specific time.	7.59
VCB properly manages accounts of loans and advances.	7.30
VCB's EMI collection method is easy.	7.50
VCB provide fast and effective services.	7.84
There is no hidden cost/ unknown deduction at VCB	7.12
VCB charges the rate of interest against loan is appropriate.	7.35
VCB's requirement of collateral security for loan is appropriate.	7.20
VCB provide sufficient days for repayment of loan.	7.43
VCB provide time extension facility for loan.	7.45
VCB provide amount extension facility for loan.	7.31
Employees have enough knowledge to answer your enquiries about the offerings and their operation.	7.52

(Table No. 6.7.2 Friedman test statistics for statement which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances
provide by VCB)

Test Statistics	
N	250
Chi-Square	34.796
df	13
Asymp. Sig.	.001
a. Friedman Test	

Interpretation:

The Friedman test result showed that there was a significant difference felt by customers with respect to performance expectancy of loan and advances provide

by VCB. The test result was statistically significant as the p value was less than the level of significance, 0.05.

It was imperative to analyze on which of these parameters they felt more influencing for taking loan and advances at VCB. This was performed by comparing the median ranks of each of these parameters; higher the median rank, higher is the feeling that a particular statement is influential to take loan and advances from VCB.

It was found out that by the different types of loans and fast and effective services provide by VCB were most influential statement with median rank of 8.12 and 7.84 respectively. And the statements which the least influencing were no hidden cost/ unknown deduction and requirement of collateral security for loan is appropriate at VCB with the median rank of 7.12 and 7.20 respectively.

MANN-WHITNEY U-TEST

6.8Mann-Whitney U-test for gender with regards to statements which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB:

Hypothesis:

H0: There is no significant difference in sum of ranks between two independent group of gender. (Male & Female)

H1: There is significant difference in sum of ranks between two independent group of gender. (Male & Female)

(Table No. 6.8.1 Mann-Whitney U-test for gender with regards to statements Which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB)

	Mann-Whitney U	**Wilcoxon W**	**Z**	**Asymp. Sig. (2-tailed)**
There are Different types of loans available at VCB.	4566.5	5601.5	-0.115	0.908
VCB's application form for loan is easy to understand.	4319.5	5354.5	-0.738	0.460
VCB follow the ease terms and conditions of loans and advances.	4488.5	5523.5	-0.306	0.760
VCB sanctioning the loan within the specific time.	4305	5340	-0.763	0.446
VCB properly manages accounts of loans and advances.	4426.5	25541.5	-0.459	0.646
VCBs EMI collection method is easy.	4426	5461	-0.462	0.644
VCB provide fast and effective	4401	5436	-0.524	0.600

services.				
There is no hidden cost/ unknown deduction at VCB	4376.5	25491.5	-0.580	0.562
VCB charges the rate of interest against loan is appropriate.	4560.5	25675.5	-0.128	0.898
VCBs requirement of collateral security for loan is appropriate.	4508	5543	-0.258	0.796
VCB provide sufficient days for repayment of loan.	4603	25718	-0.024	0.981
VCB provide time extension facility for loan.	4415.5	25530.5	-0.482	0.629
VCB provide amount extension facility for loan.	4508	5543	-0.257	0.797
Employees have enough knowledge to answer your enquiries about the offerings and their operation.	4310.5	25425.5	-0.762	0.446

Grouping Variable: Gender:

Interpretation:

The Mann-Whitney U-test result showed that there was a no significant difference in sum of ranks between two independent group of gender with regards to statements which shows customers' agreement or disagreement with respect to performance expectancy of loan and advances provide by VCB. All Significant values are grater then 0.05 which means researcher is fail to reject H0.

6.9 Mann-Whitney U-test for Marital Status with regards to statements which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB:

Hypothesis:

H0: There is no significant difference in sum of ranks between two independent group of Marital Status.(Single, Married)

H1: There is significant difference in sum of ranks between two independent group of Marital Status.(Single, Married)

(Table No. 6.9.1 Mann-Whitney U-test for marital status with regards to statements which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB)

	Mann-Whitney U	**Wilcoxon W**	**Z**	**Asymp. Sig. (2-tailed)**
There are Different types of loans available at VCB	7146.5	11517.5	-0.306	0.760
VCBs application form for loan is easy to understand.	7225.5	11596.5	-0.150	0.881
VCB follow the ease terms and conditions of loans and advances.	6945.5	19348.5	-0.697	0.486
VCB sanctioning the loan within the specific time.	7247.5	11618.5	-0.104	0.917
VCB properly manages accounts of loans and advances.	6602.5	10973.5	-1.370	0.171
VCBs EMI collection method is easy.	6824.5	11195.5	-0.938	0.348
VCB provide fast and effective services.	7215	19618	-0.168	0.866
There is no hidden cost/ unknown deduction at VCB	6996.5	11367.5	-0.594	0.552
VCB charges the rate of interest against loan is appropriate.	7216	11587	-0.166	0.868
VCBs requirement of	6996	11367	-0.598	0.550

collateral security for loan is appropriate.				
VCB provide sufficient days for repayment of loan.	7294.5	11665.5	-0.012	0.991
VCB provide time extension facility for loan.	6447.5	10818.5	-1.661	0.097
VCB provide amount extension facility for loan.	7275	11646	-0.050	0.960
Employees have enough knowledge to answer your enquiries about the offerings and their operation.	6823.5	11194.5	-0.956	0.339

Grouping Variable: Marital Status:

Interpretation:

The Mann-Whitney U-test result showed that there was a no significant difference in sum of ranks between two independent group of marital status with regards to statements which shows customers' agreement or disagreement with respect to performance expectancy of loan and advances provide by VCB. All Significant values are grater then 0.05 which means researcher is fail to reject H0.

KRUSKAL WALLIS H-TEST

6.10 Kruskal Wallis H-test for Age with regards to statements which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB:

Hypothesis:

H0: There is no significant difference in sum of ranks among independent group of Age.

H1: There is significant difference in sum of ranks among independent group of Age.

(Table No. 6.10.1 Kruskal Wallis H-Test for Age with regards to statements which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB)

	Chi-Square	df	Asymp. Sig.
There are Different types of loans available at VCB	2.005	3	0.571
VCBs application form for loan is easy to understand.	2.547	3	0.467
VCB follow the ease terms and conditions of loans and advances.	0.853	3	0.837
VCB sanctioning the loan within the specific time.	3.069	3	0.381
VCB properly manages accounts of loans and advances.	4.014	3	0.260
VCBs EMI collection method is easy.	4.012	3	0.260
VCB provide fast and effective services.	2.041	3	0.564
There is no hidden cost/ unknown deduction at VCB	4.469	3	0.215
VCB charges the rate of interest against loan is appropriate.	1.526	3	0.676
VCBs requirement of collateral security for loan is appropriate.	2.674	3	0.445

VCB provide sufficient days for repayment of loan.	1.909	3	0.591
VCB provide time extension facility for loan.	2.649	3	0.449
VCB provide amount extension facility for loan.	0.882	3	0.830
Employees have enough knowledge to answer your enquiries about the offerings and their operation.	2.091	3	0.554

a. Kruskal Wallis Test

b. Grouping Variable: Age:

Interpretation:

The Kruskal Wallis H-Test shows that result showed that there was a no significant difference in sum of ranks between two independent group of Age with regards to statements which shows customers' agreement or disagreement with respect to performance expectancy of loan and advances provide by VCB. All Significant values are grater then 0.05 which means researcher is fail to reject H0.

6.11 Kruskal Wallis H-Test for Occupation with regards to statements which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB:

Hypothesis:

H0: There is no significant difference in sum of ranks among independent groups of occupation.

H1: There is significant difference in sum of ranks among independent group of occupation.

(Table No. 6.11.1 Kruskal Wallis H-Test for Occupation with regards to statements which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB)

	Chi-Square	**df**	**Asymp. Sig.**
There are Different types of loans available at	2.241	3	0.524

VCB			
VCBs application form for loan is easy to understand.	7.046	3	0.070
VCB follow the ease terms and conditions of loans and advances.	4.247	3	0.236
VCB sanctioning the loan within the specific time.	7.944	3	0.047
VCB properly manages accounts of loans and advances.	6.187	3	0.103
VCBs EMI collection method is easy.	12.835	3	0.005
VCB provide fast and effective services.	7.762	3	0.051
There is no hidden cost/ unknown deduction at VCB	9.543	3	0.023
VCB charges the rate of interest against loan is appropriate.	2.765	3	0.429
VCBs requirement of collateral security for loan is appropriate.	14.554	3	0.002
VCB provide sufficient days for repayment of loan.	2.538	3	0.468
VCB provide time extension facility for loan.	10.343	3	0.016
VCB provide amount extension facility for loan.	4.392	3	0.222
Employees have enough knowledge to answer your enquiries about the offerings and their operation.	8.010	3	0.046

a. Kruskal Wallis Test

b. Grouping Variable: Occupation:

Interpretation:

The Kruskal Wallis H-Test result showed that some significant values fail to reject H1 for that sentence are as under:

- VCB sanctioning the loan within a specific time(0.047 < 0.05)
- VCB's EMI collection method is easy(0.005 <0.05)

- There is no hidden cost/ unknown deduction at VCB(0.023 < 0.05)
- VCB requirements of collateral security for loan is appropriate (0.002 < 0.05)
- VCB provide time extension facility for loan(0.016 < 0.05)
- Employees have enough knowledge to answer your enquiries about the offering and their operation(0.046 < 0.05)

Above all statement's significant values are less than 0.05 which means there is significant difference in sum of ranks among independent group of occupation.

The Kruskal Wallis H-Test result showed that some significant values fail to reject H0 for that sentence are as under:

- There are Different types of loans available at VCB(0.524 > 0.05)
- VCBs application form for loan is easy to understand. (0.070 > 0.05)
- VCB follow the ease terms and conditions of loans and advances.(0.236 > 0.05)
- VCB properly manages accounts of loans and advances.(0.103 > 0.05)
- VCB provide fast and effective services.(0.051> 0.05)
- VCB charges the rate of interest against loan is appropriate.(0.429 > 0.05)
- VCB provide sufficient days for repayment of loan.(0.468 > 0.05)
- VCB provide amount extension facility for loan.(0.222 > 0.05)

Above all statement's significant values are greater than 0.05 which means there is no significant difference in sum of ranks among independent group of occupation.

6.12 Kruskal Wallis H-Test for Income with regards to statements which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB:

Hypothesis:

H0: There is no significant difference in sum of ranks among independent group of income.

H1: There is significant difference in sum of ranks among independent group of income.

(Table No. 6.12.1 Kruskal Wallis H-Test for income with regards to statements which shows customers' agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB)

	Chi-Square	df	Asymp. Sig.
There are Different types of loans available at VCB	0.115	3	0.990
VCBs application form for loan is easy to understand.	5.352	3	0.148
VCB follow the ease terms and conditions of loans and advances.	5.616	3	0.132
VCB sanctioning the loan within the specific time.	7.674	3	0.053
VCB properly manages accounts of loans and advances.	10.775	3	0.013
VCBs EMI collection method is easy.	12.248	3	0.007
VCB provide fast and effective services.	1.467	3	0.690
There is no hidden cost/ unknown deduction at VCB	7.212	3	0.065
VCB charges the rate of interest against loan is appropriate.	6.901	3	0.075
VCBs requirement of collateral security for loan is appropriate.	6.465	3	0.091
VCB provide sufficient days for repayment of loan.	9.629	3	0.022
VCB provide time extension facility for loan.	10.346	3	0.016
VCB provide amount extension facility for loan.	6.307	3	0.098
Employees have enough knowledge to answer your enquiries about the offerings and their operation.	4.442	3	0.218

a. Kruskal Wallis Test

b. Grouping Variable: Income:

Interpretation:

The Kruskal Wallis H-Test result showed that some significant values fail to reject H1 for that sentence are as under:

- VCB properly manages accounts of loans and advances.(0.013 < 0.05)

- VCBs EMI collection method is easy.(0.007 < 0.05)
- VCB provide sufficient days for repayment of loan. (0.022 < 0.05)
- VCB provide time extension facility for loan. (0.016 < 0.05)

Above all statement's significant values are less than 0.05 which means there is significant difference in sum of ranks among independent group of occupation.

The Kruskal Wallis H-Test result showed that some significant values fail to reject H0 for that sentence are as under:

- There are Different types of loans available at VCB (0.990 > 0.05)
- VCBs application form for loan is easy to understand.(0.148 > 0.05)
- VCB follow the ease terms and conditions of loans and advances.(0.132 > 0.05)
- VCB sanctioning the loan within the specific time.(0.053 > 0.05)
- VCB provide fast and effective services.(0.690 > 0.05)
- There is no hidden cost/ unknown deduction at VCB.(0.065 > 0.05)
- VCB charges the rate of interest against loan is appropriate. (0.075 > 0.05)
- VCBs requirement of collateral security for loan is appropriate.(0.091 > 0.05)
- VCB provide amount extension facility for loan.(0.098 > 0.05)
- Employees have enough knowledge to answer your enquiries about the offerings and their operation.(0.218 > 0.05)

Above all statement's significant values are greater than 0.05 which means there is no significant difference in sum of ranks among independent group of occupation.

SPEARMAN'S RANK CORRELATION

6.13 Spearman's Rank Correlation test to know association between customer overall satisfaction and Customer's agreement or disagreement with respect to performance expectancy of loans and advances provide by VCB.

Hypothesis:

H0: There is no association between overall customer satisfaction and Customer's agreement or disagreement with respect to performance expectancy of loan and advances provide by VCB.

H1: There is association between overall customer satisfaction and Customer's agreement or disagreement with respect to performance expectancy of loan and advances provide by VCB.

(Table No. 6.13.1 Spearman's rank correlation test for customer overall satisfaction and customer's performance expectancy of loans and advances.)

		You satisfied with services provide by VCB
There are Different types of loans available at VCB	Correlation Coefficient	.715**
	Sig. (2-tailed)	0.000
	N	250
VCB's application form for loan is easy to understand.	Correlation Coefficient	.706**
	Sig. (2-tailed)	0.000
	N	250
VCB follow the ease terms and conditions of loans and advances.	Correlation Coefficient	.841**
	Sig. (2-tailed)	0.000
	N	250
VCB sanctioning the loan within	Correlation	.689**

the specific time.	Coefficient	
	Sig. (2-tailed)	0.000
	N	250
VCB properly manages accounts of loans and advances.	Correlation Coefficient	.793**
	Sig. (2-tailed)	0.000
	N	250
VCB's EMI collection method is easy.	Correlation Coefficient	.673**
	Sig. (2-tailed)	0.000
	N	250
VCB provide fast and effective services.	Correlation Coefficient	.815**
	Sig. (2-tailed)	0.000
	N	250
There is no hidden cost/ unknown deduction at VCB	Correlation Coefficient	.725**
	Sig. (2-tailed)	0.000
	N	250
VCB charges the rate of interest against loan is appropriate.	Correlation Coefficient	.832**
	Sig. (2-tailed)	0.000
	N	250
VCB's requirement of collateral security for loan is appropriate.	Correlation Coefficient	.665**
	Sig. (2-tailed)	0.000
	N	250
VCB provide sufficient days for repayment of loan.	Correlation Coefficient	.870**
	Sig. (2-tailed)	0.000
	N	250

VCB provide time extension facility for loan.	Correlation Coefficient	.693**
	Sig. (2-tailed)	0.000
	N	250
VCB provide amount extension facility for loan.	Correlation Coefficient	.785**
	Sig. (2-tailed)	0.000
	N	250
Employees have enough knowledge to answer your enquiries about the offerings and their operation.	Correlation Coefficient	.708**
	Sig. (2-tailed)	0.000
	N	250

Interpretation:

According to Spearman's Rank Correlation test, researcher can conclude that there is positive relation between overall customer satisfaction and statement which shows customer's agreement or disagreement with due respect of performance expectancy of loan and advances provided by VCB. Correlation coefficient is between 0 to 1 and significant value is less than 0.01 so there is positive relation according to above understanding.

6.14 Spearman's Rank Correlation test to know association between customer like to prefer VCB for taking loans and advances and Customer's agreement or disagreement with respect to performance expectancy of loan and advances provide by VCB.

Hypothesis:

H0: There is no association between customer like to prefer VCB for taking loan and advances and Customer's agreement or disagreement with respect to performance expectancy of loan and advances provide by VCB.

H1: There is association between customer like to prefer VCB for taking loan and advances and Customer's agreement or disagreement with respect to performance expectancy of loan and advances provide by VCB.

(Table No. 6.14.1 Spearman's rank correlation test for customer like to prefer VCB for taking loans and advances in future and customer's performance expectancy of loans and advances.)

		You like to prefer VCB for taking loans and advances.
There are Different types of loans available at VCB	Correlation Coefficient	.569**
	Sig. (2-tailed)	0.000
	N	250
VCB's application form for loan is easy to understand.	Correlation Coefficient	.793**
	Sig. (2-tailed)	0.000
	N	250
VCB follow the ease terms and conditions of loans and advances.	Correlation Coefficient	.647**
	Sig. (2-tailed)	0.000
	N	250
VCB sanctioning the loan within the specific time.	Correlation Coefficient	.822**
	Sig. (2-tailed)	0.000
	N	250
VCB properly manages accounts of loans and advances.	Correlation Coefficient	.720**
	Sig. (2-tailed)	0.000
	N	250
VCB's EMI collection method is easy.	Correlation Coefficient	.786**

	Sig. (2-tailed)	0.000
	N	250
VCB provide fast and effective services.	Correlation Coefficient	.645**
	Sig. (2-tailed)	0.000
	N	250
There is no hidden cost/ unknown deduction at VCB	Correlation Coefficient	.855**
	Sig. (2-tailed)	0.000
	N	250
VCB charges the rate of interest against loan is appropriate.	Correlation Coefficient	.692**
	Sig. (2-tailed)	0.000
	N	250
VCB's requirement of collateral security for loan is appropriate.	Correlation Coefficient	.866**
	Sig. (2-tailed)	0.000
	N	250
VCB provide sufficient days for repayment of loan.	Correlation Coefficient	.717**
	Sig. (2-tailed)	0.000
	N	250
VCB provide time extension facility for loan.	Correlation Coefficient	.817**
	Sig. (2-tailed)	0.000
	N	250
VCB provide amount extension facility for loan.	Correlation Coefficient	.656**
	Sig. (2-tailed)	0.000
	N	250
Employees have enough knowledge to	Correlation	.847**

answer your enquiries about the offerings and their operation.	Coefficient	
	Sig. (2-tailed)	0.000
	N	250

Interpretation:

According to Spearman's Rank Correlation test, researcher can conclude that there is positive relation between customer like to prefer VCB for taking loan and advances and Customer's agreement or disagreement with respect to performance expectancy of loan and advances provide by VCB. Correlation coefficient is between 0 to 1 and significant value is less than 0.01 so there is positive relation according to above understanding.

FINDINGS

Findings from Rapport building questions:

- It was found out that respondent mostly used house loan-26% provided by the Varachha Co-operative Bank (VCB), followed by 24.4% customer used Mortgage loan, 23.6% customer used gold loan, 20% customer vehicle loan, 17.6% customer used cash credit loan and 16% customer other loan.

Findings from customer preference towards factor in term of their concern before taking loan and advances:

- Customer have majority positive perception toward each factor in term of their concern before taking loan and advances. Friedman test was performed to know their perception about factors. According to Freidman test , it was found that each factor is important for customer before taking loans and advances from bank.
- The more influencing factors according to customer where they get influenced by friendly and courteous behavior of staff, followed by low interest on loan and fast & effective services provide by bank. Other factors also influence perception of customers before taking loans and advances.

Finding from customer Agreement or Disagreement towards statement which shows performance of loan and advances' services provide by VCB.

- According to Freidman test, there is difference in customers' agreement towards statement which shows performance of loan and advances' services provide by VCB. The more agreeable statement is different types of loans provide by VCB, followed by fast and effective services, easy to understand application form and easy terms and condition of loans & advances provided by VCB. The least agreeable statements are no hidden cost/ unknown deduction and requirement of collateral security for loans provide by VCB.

- According to Mann-Whitney U-test, it was found that there is no difference of agreement or disagreement regards to statements between male and female customer.
- According to Mann-Whitney U-test, it was found that there is no difference of agreement or disagreement regards to statements between single and married customer.
- According to Kruskal Wallis H-test, it was found that there is no significant difference of agreement and disagreement regards to statements among different age group customer.
- According to Kruskal Wallis H-test, it was found that there is significant difference of agreement and disagreement regards to statements among different occupation.
- According to Kruskal Wallis H-test, it was found that there is significant difference of agreement and disagreement regards to statements among different income group.

Finding Overall Customer satisfaction towards VCB and customer will prefer VCB for taking loans and advances in future:

- According to researcher out of 250 respondents, 79% of all the respondents are overall satisfied with VCB services related to loans and advances. According to Spearman's Rank Correlation test that overall customer satisfaction and services provide by VCB have positive relation which means services are good enough.
- According to researcher out of 250 respondents, 66% of all the respondents will prefer to taking loans and advances from VCB . According to Spearman's Rank Correlation test that customer preference of VCB for taking loans and advances in future and services provided by VCB have positive relation which means 66% respondents were satisfied with VCB's services related to loans and advances.

CONCLUSION

This is an information era significance of information cannot be over emphasized. This study attempts to find out the preference and satisfaction level towards various schemes offered by the varachha co-operative bank to the consumer. This decade, most of the peoples are borrowing credit from the banks. So, banking and financial institutions are increasing in more level. So, banking service provider should overcome another one's competition. So, it leads to adding new facility, schemes, and periodical offers to their clients. So, the consumers get maximum benefit from their service provider.

Now-a-days, credit and advances are very necessity to all. Because, it is giving financial protection to the men and women also. And no person is feeling the credit as a burden but a facility provides by the banking institutions.

RECOMMENDATION

- Customers are more attracted towards lower interest rates on loans and advances so, bank should decrease their interest rates if possible.

- There should transparency with the customers in bank about all the service charges and hidden cost for procuring loans and advances.

- Bank should liberate the policies of collateral security so it is more convenient for customers to take loans and advances.

- Bank should maintain their loan accounts more precisely so it's helpful for customer to understand.

- Bank employees should behave more professionally and improve their services so it can attract more customers .

- Bank should also provide information about time and amount extension facility.

- Bank needs to provide doorstep banking facilities like other banks as it attracts more customers.

Bibliography

Website:

https://www.varachhabank.com/

https://www.investopedia.com/terms/b/bank.asp

https://jupiter.money/resources/evolution-of-banking-in-india/

https://dailytools.in/BankingKnowledge/BankAndEconomicalDevelopment

https://en.m.wikipedia.org/wiki/Cooperative_banking

https://www.mckinsey.com/industries/financial-services/our-insights/global-banking-annual-review

https://www.drishtiias.com/daily-updates/daily-news-analysis/co-operative-banks-under-rbi-supervision

https://slideplayer.com/amp/5693380/

Books:

Marketing Management-Philip Kotler

Principle of Marketing-Philip Kotler & Gray Armstrong

Marketing Management-Stanton

Business Research Methodology-C.R. Kothari

The Varachha Co-Operative Bank. Ltd Annul Report 2020-19

Reference:

Akterujjaman,S M (2015) *Customers' Satisfaction toward the Services of Commercial Banks in Bangladesh: A Study on Selected Banks* an Unpublished M Phil thesis, University of Rajshahi

Akterujjaman, S M (2016) "Depositors' Satisfaction toward the Services of Private Commercial Banks and State-owned Commercial Banks in Bangladesh: A Comparative Study," *Scholar Journal of Research Review*, vol 1, no 1, pp 9-22

Hossain, M , Sheikh, R , & Akterujjaman, S M (2014) Impact of Firm Specific Factors on Cash Dividend Payment Decisions: Evidence from Bangladesh *International Review of Business Research Papers*, *10*(2), 62-80

K Khasimpeera and Dr M Sugunatha Reddy (2019) Perception of gold loan-borrowers in kadapa town, Andhra Pradesh International Journal of Humanities and Social Science Research, 137-139

P, Vanitha Malarvizhi (2019) A Comparative Study on Gold Loan Offered by Public Sector Banks and Non- Banking Financing Companies, Madurai Article in Shanlax International Journal of Commerce, 51-57

P Hemavathy and S Gurusamy (2016) Spotlight on Awareness of Gold Monetization Scheme (GMS) : A Kaleidoscopic Investigation Research Scholar, 1 - 59

Prof B Shivraj and deepashree (2015) A STUDY OF GOLD LOAN IN MUTHOOT FINANANCE LIMITED IRJA-Indian Research Journal

R KANNAN & SARAT DHAL (2008) India's demand for gold: some issues for economic development and macroeconomic policy Indian Journal of Economics & Business, 107 - 128

S Praveen kumar (2019) Buying Behavior of Consumers towards Gold Jewellery in Madurai District, TamilNadu International Journal of Research in Humanities, Arts and Literature, 95 - 102

Somnath Mukhuti and Amalendu Bhunia (2013) Is it true that Indian gold price influenced by Indian stock market reaction ? E3 Journal of Business Management and Economics, 181 - 186

KC Shekhar and Lekshmy Shekhar (2007), „Banking theory and practice", Nineteenth edition, reprint 2007, Vikas publishing house Pvt ltd (India), Chapter: 16, pp 356-374

Dutta Uttam and Basak Amit (2008), "Appraisal of financial performance of urban cooperative banks- a case study " The Management Accountant, case study, March 2008, 170-174

Chander Ramesh and Chandel Jai Kishan (2010), “Financial Viability of an Apex Cooperative Credit Institution- A Case Study of the HARCO Bank”, Asia-Pacific Business Review Vol VI, No 2, April-June 2010, pp 61-70

Christos C Frangos, Konstantinos C Fragkos , Ioannis Sotiropoulos, Giannis Manolopoulos and Aikaterini C Valvi (2012) *“Factors Affecting Customers’ Decision for Taking out Bank Loans: A Case of Greek Customers”,* Journal of Marketing Research & Case Studies

William L Boyd, Myron Leonard, Charles White, (1994) "Customer Preferences for Financial Services: An Analysis", *International Journal of Bank Marketing*, Vol 12 Issue: 1, pp 9 – 15

Thomas, P G (2014) Customer Perception Towards Housing Loans- A Study with Reference to Public and Co-Operative Sector Banks in Kollam International Journal of Management and Social Science Research Review Vol 1, No 2, August Pp 79-82

Sangwan, P , Bhan, K (2012) A Comparative Analysis on Home Loans of Public and Private Sector Banks in India International Journal of Research in Commerce, Economics and Management, Vol 2, No 9, Pp 121-125

ANNEXEURE

- **Which Loan Product of The Varachha Co-operative Bank Ltd. (VCB) you used?**

☐ Gold Loan

☐ House Loan

☐ Cash credit loan(CCL)

☐ Mortgage Loan

☐ Vehicle Loan

☐ Other

- **Please rate the following factors in term of your concern before taking Loan and Advances:**

	Not at all Preferred	Least Preferred	Neutral	Preferred	Highly Preferred
Different types of loan schemes.					
Easy application form					
The ease terms and conditions for loans and advances.					
Sanctioning the loan within the specific time.					
Account Management					
Easy EMI collection					

Fast and Effective services					
Low Interest on loan					
No Hidden cost/ Unknown deduction.					
Requirement of collateral securities.					
Provide sufficient days for repayment of loan.					
Time extension for loan					
Extension for loan amount					
Friendly and courteous manner of employees					

- **Please rate the following Statement with respect to Performance Expectancy of loan and advances provide by VCB based on your opinion.**

	Strongly Disagree	Disagree	Neutral	Agree	Strongly Agree
There are Different types of loans available at VCB					

VCB's application form for loan is easy to understand.					
VCB follow the ease terms and conditions of loans and advances.					
VCB sanctioning the loan within the specific time.					
VCB properly manages accounts of loans and advances.					
VCB's EMI collection method is easy.					
VCB provide fast and effective services.					
There is no hidden cost/ unknown deduction at VCB					
VCB charges the rate of interest against loan is appropriate.					
VCB's requirement of collateral security for loan is appropriate.					
VCB provide sufficient days for repayment of loan.					
VCB provide time extension facility for loan.					

VCB provide amount extension facility for loan.					
Employees have enough knowledge to answer your enquiries about the offerings and their operation.					

- Are you satisfied with The Varachha Co-operative bank's all services related loan and advances?

Very dissatisfied	Dissatisfied	Neutral	Satisfied	Very Satisfied

- Will you like to prefer The Varachha Co-operative bank for taking loans and advances?

Not at all Preferred	Least Preferred	Neutral	Preferred	Highly Preferred

- **Name:**

  _____

- **Gender:**
  - Female
  - Male

- **Age:**
  - 18-30
  - 31-40

- 41-50
- Above 50

- **Occupation:**
  - Self employed
  - Businessman
  - Professional
  - Other

- **Marital Status:**
  - Single
  - Married

- **Income:**
  - Less than 3,00,000
  - 3,00,000 to 6,00,000
  - 6,00,000 to 10,00,000
  - More than 10,00,000